TEKVOLT SYSTEMS · COMMODITIES

TRADING UK GAS

NBP & the European Gas Complex

Market mechanics · the famous trades · the strategies that worked
weather · storage · the curve · AI · corruption & liquidity

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Trading UK Gas — a deep dive

NBP market mechanics, the famous trades, and the strategies that worked

> A deep, factual tour of UK natural-gas trading: the NBP balance, the weather and storage drivers, the 2021–22 shock, the 2006 calendar-spread blow-up, and the strategies that real funds have used — then how AI changes all of it, now and next.

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1. The market — NBP in one breath

The **NBP** (National Balancing Point) is the UK's virtual gas hub: the single price at which UK gas trades, quoted in **pence per therm** (p/th). One therm ≈ 29.3 kWh. It is the physical and financial reference for the whole UK gas market.

The NBP price is a **balance**: supply against weather-driven demand, buffered by storage.

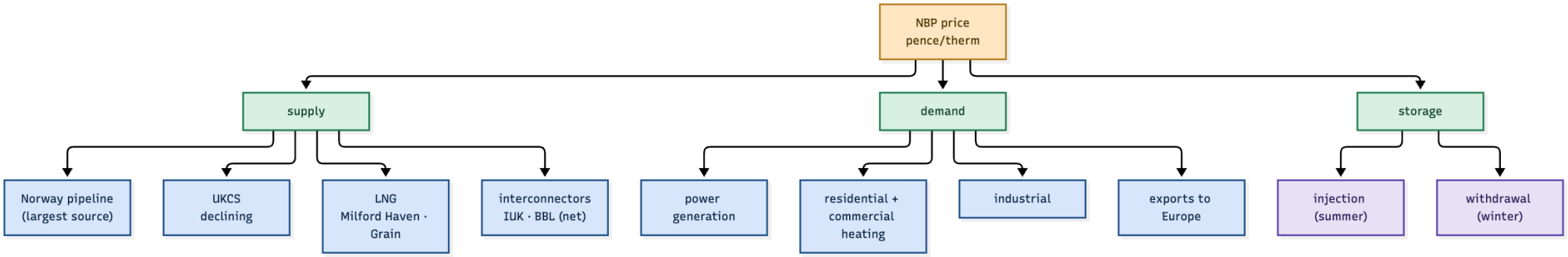


Figure 1.1 — Norway, UKCS, LNG and interconnectors supply; power, heating, industry and exports demand.

Fact	Number
UK gas demand	~70–80 bcm/year
price unit	pence per therm (p/th)
hub	NBP (virtual)
traded	day-ahead, M+1, season, winter, forwards

The market clears every gas day, and the price is set by the *marginal* unit of supply or demand — exactly like the power merit order, but for molecules.

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2. Supply — where the gas comes from

UK gas supply has four legs, and they matter because they are the *shocks*:

Source	Share (approx.)	What shocks it
Norway pipeline	~45%	outages, maintenance (Kollsnes, Troll)
UKCS (North Sea)	~25%, declining	field decline, unplanned outages
LNG (Milford Haven, Isle of Grain)	~20%, swing	Asian premium, cargo diversion
interconnectors (IUK to Belgium, BBL to NL)	net exporter/importer	European demand, price spreads

Norway is the single largest source — a Norwegian outage is the classic bullish event. LNG is the *swing*: when Asia pays up, cargoes divert and the UK tightens. The interconnectors link NBP to TTF (Dutch) and make the UK part of one European gas system.

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3. Demand — where the gas goes

Use	Driver	Volatility
power generation	gas-fired power, wind/solar output	high, weather
residential + commercial heating	HDD (temperature)	high, winter
industrial	economic activity	low
exports (IUK/BBL)	European prices	high, event

Heating and power burn are the weather-driven core. A cold winter day can nearly double demand from a mild one. That is why UK gas is a **weather market** first and foremost.

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4. Storage — the UK's structural weakness

The UK has **very little gas storage** — roughly **9 days** of demand, versus ~80 days for Germany. This is the single most important structural fact about NBP:

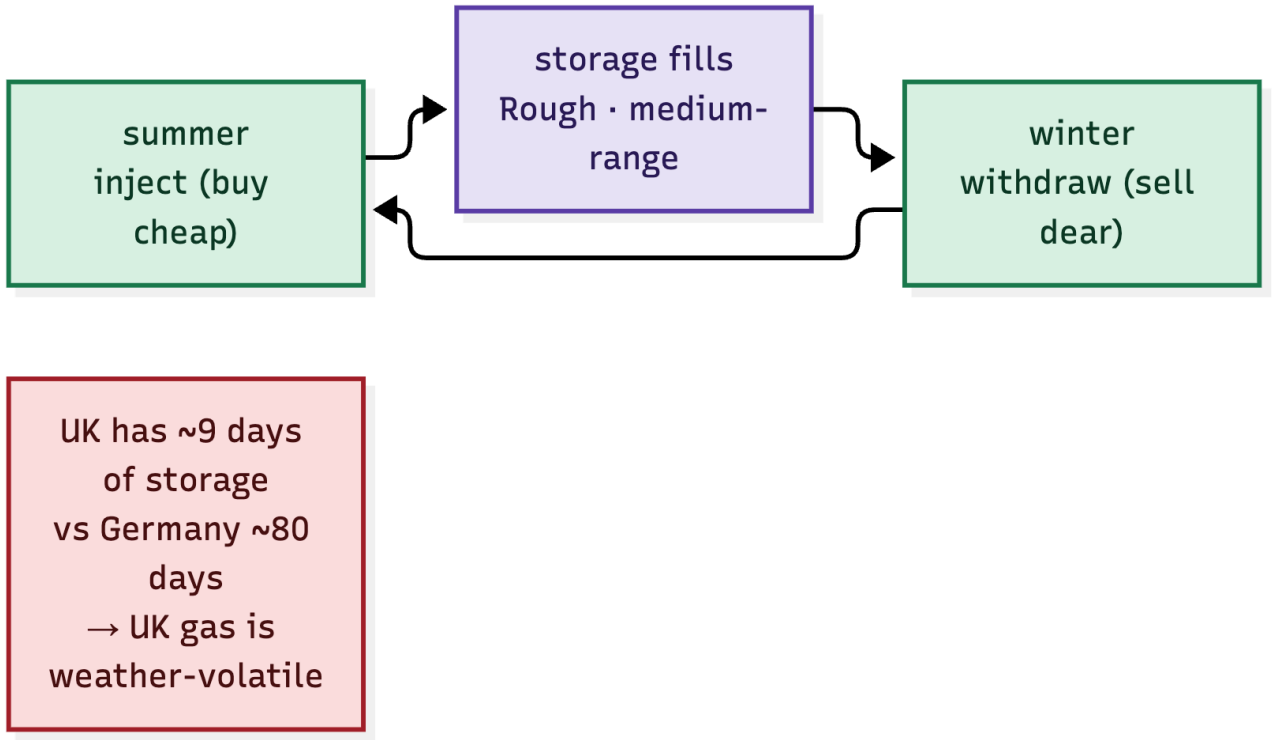


Figure 4.1 — inject in summer, withdraw in winter; the UK is structurally short storage.

Fact	Number
UK storage	~9 days of demand
Germany	~80 days
Rough (largest, closed 2017, partly reopened)	~3.3 bcm
consequence	NBP is **more volatile** + weather-sensitive than TTF

Because the UK cannot store its way through a cold winter, **the market is the storage** — prices must move sharply to ration demand and attract LNG. That is the structural source of the UK's winter price spikes.

5. The seasonal structure — summer vs winter

Gas has a *built-in* seasonal rhythm: inject in summer (cheap), withdraw in winter (dear). The **summer-winter spread** is the price of storage plus a risk premium.



Figure 5.1 — the winter premium is the cost of carry plus the risk of a cold, tight winter.

The spread is the most-traded structure in gas. It *should* be bounded by storage economics (inject now, withdraw later, earn the spread) — but it blew out dramatically in 2021–22 when storage was low and the risk premium exploded.

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6. Weather — the driver

Weather is the single biggest short-term driver. The measure is **HDD** (heating degree days): each degree below a baseline (15.5°C) is one unit of heating demand.

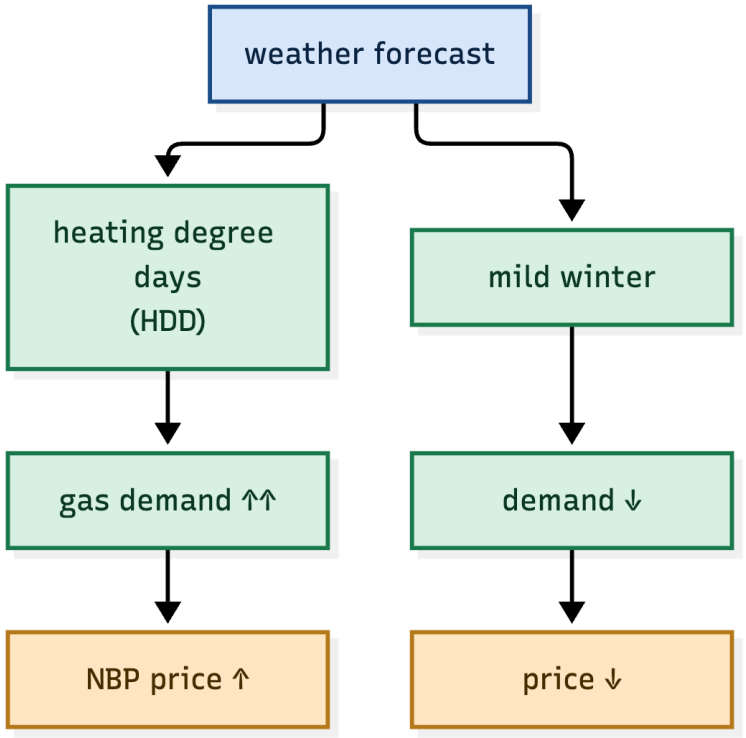


Figure 6.1 — cold raises demand and price; mild does the reverse.

Event	Impact
cold snap ("Beast from the East" 2018)	demand spike, price spike
mild winter	demand soft, price soft
forecast revision (colder)	price jumps on the revision

The edge in UK gas is often the **weather forecast revision**, not the weather itself — the trader who sizes the *change in the forecast* faster wins.

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7. Geopolitics — the 2021–22 shock

The defining gas event of the era:

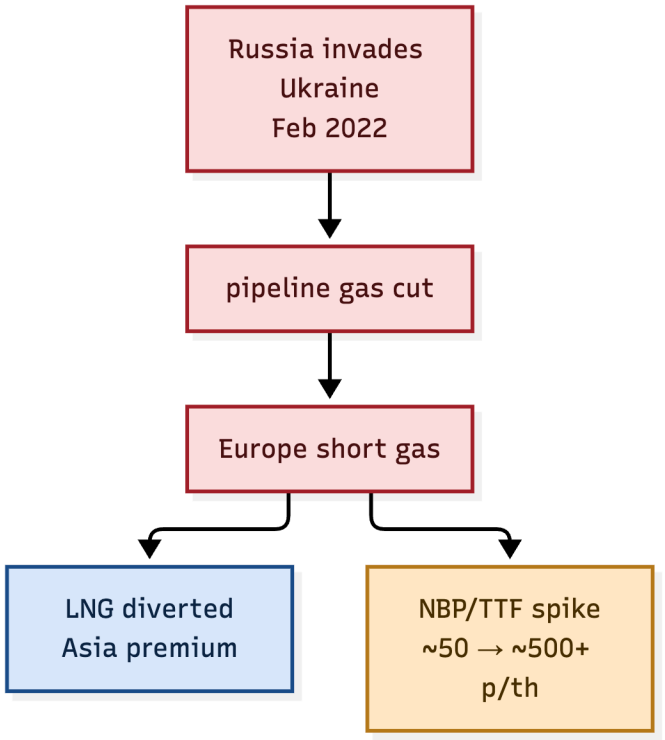


Figure 7.1 — Russia's invasion cut pipeline gas, Europe scrambled for LNG, prices exploded.

Date	Event	NBP/TTF
early 2021	tight storage, cold winter	~40–50 p/th
late 2021	Russia curtails flows	~200+ p/th
Feb 2022	invasion of Ukraine	spike
Aug 2022	peak panic, LNG diversion	**~500–600+ p/th**

The lesson: **gas is a geopolitical commodity.** A supply shock to a low-storage system with little spare capacity is not a 20% move — it is a 10× move. The funds that were *long the winter / long storage* ahead of 2021–22 made the trade of the decade.

8. The famous trades — what worked and what blew up

8.1 The 2006 calendar-spread blow-up

One large US hedge fund's lead energy trader bet huge on **natural-gas calendar spreads** (long winter / short summer, and the March-April and Nov-Jan spreads). In September 2006 the spreads moved against the position and the fund lost **~$6 billion in a week** — the largest hedge-fund collapse to that date. The CFTC later charged the trader with attempted manipulation of gas futures.

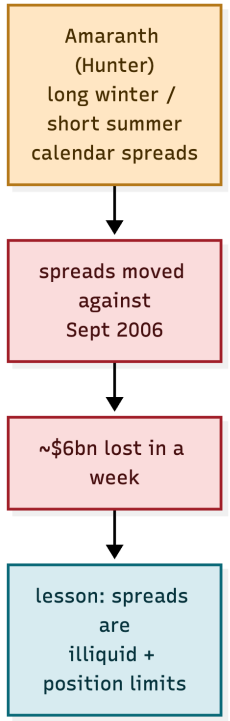


Figure 8.1 — one over-sized spread position, one adverse move, $6bn gone.

The lesson is not "don't trade spreads" — it is "size the spread, know its liquidity, and never let one position be the fund." The calendar spread is a *good trade*; the mistake was the *size* and the *concentration*.

8.2 The 2021–22 winners

The funds that won the crisis were **long winter gas, long the storage premium, and long the tail** — via the curve and options. They read the fundamentals (low storage + tight LNG + Russia risk) and positioned *before* the spike. That is fundamental, option-shaped trading: **buy the tail, not the point.**

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9. The strategies that have worked

9.1 Weather-driven (the classic play)

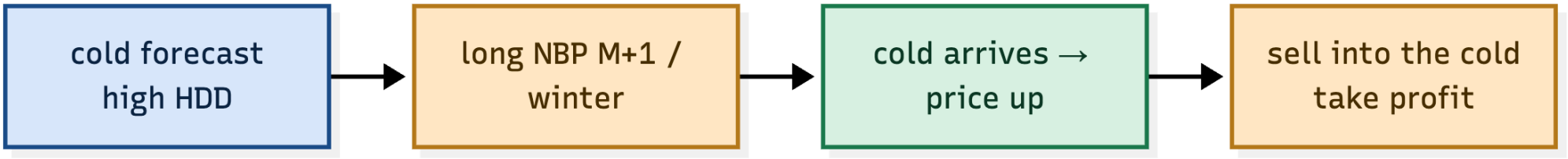


Figure 9.1 — buy the cold forecast, sell into the cold.

The classic: on a colder forecast revision, **long M+1 / winter**; when the cold arrives and the price spikes, **sell into it**. A legendary gas trader built his fortune on weather-driven gas trading — reading the forecast faster and better than the market.

9.2 Storage-based (the fundamental long)

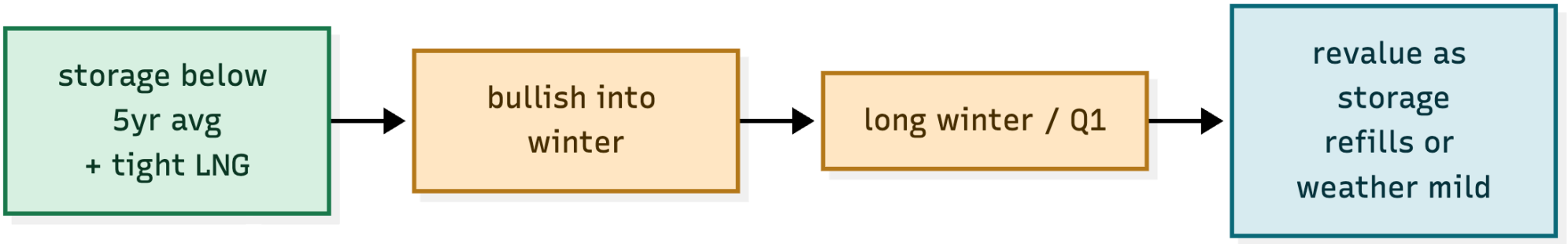


Figure 9.2 — low storage + tight LNG = bullish into winter.

When storage is below the 5-year average going into winter, the winter premium is underpriced. **Long winter / Q1**, and revalue as storage refills or weather turns mild.

9.3 The calendar spread (sized right)

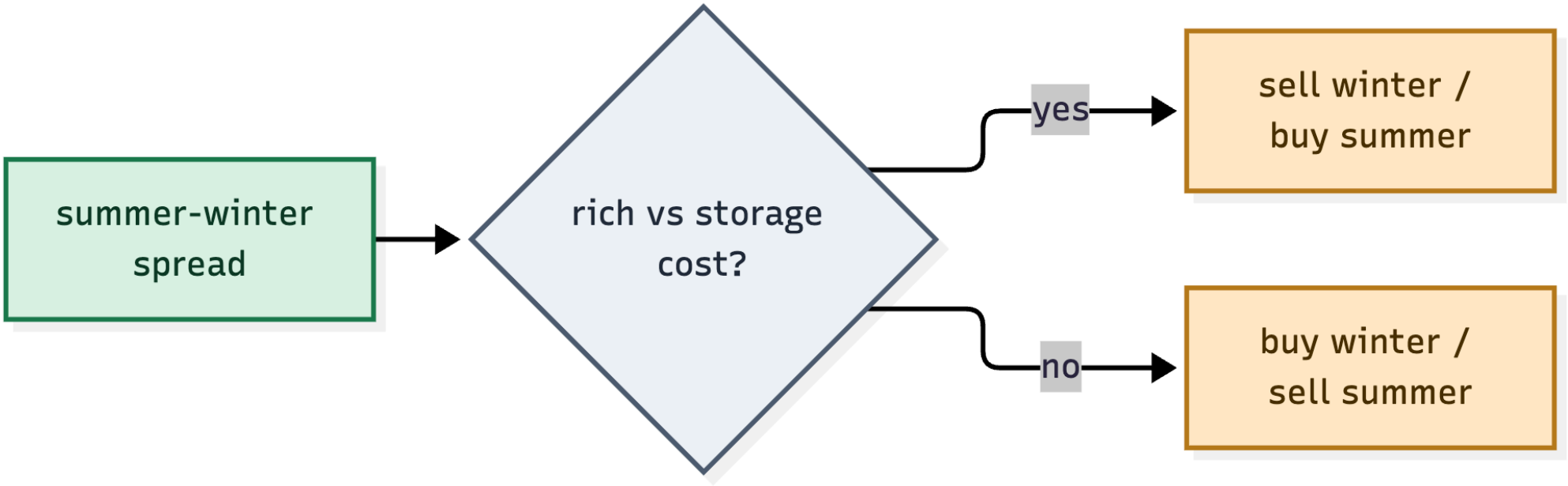


Figure 9.3 — trade the spread against its storage-cost anchor.

The spread is the same instrument that fund used — but the discipline is the *anchor*: the spread should not exceed the cost of storage plus a *reasonable* risk premium. When it does, it is rich; sell it. When it is below, buy it.

9.4 The basis — NBP vs TTF

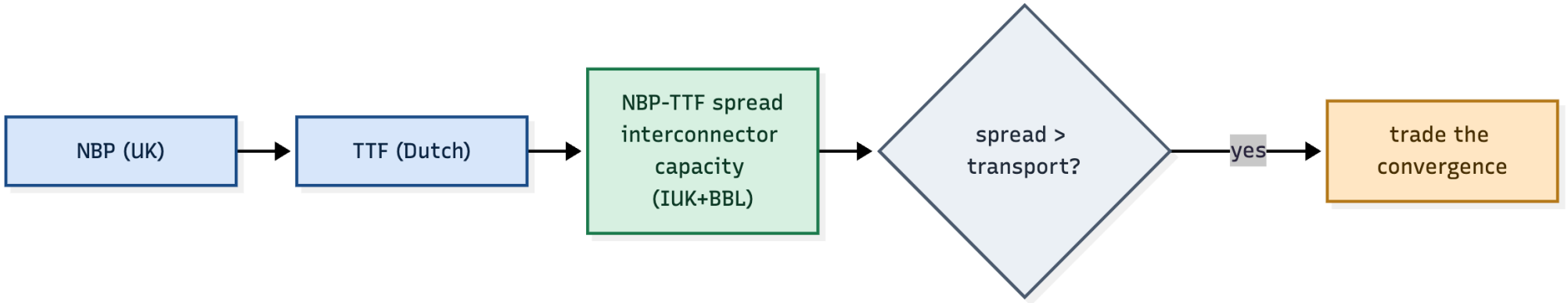


Figure 9.4 — the NBP-TTF spread is bounded by interconnector capacity.

NBP and TTF are linked by the IUK and BBL interconnectors. When the spread exceeds transport cost, the flow arbitrages it away. Trade the *convergence*.

9.5 The spark spread — gas vs power

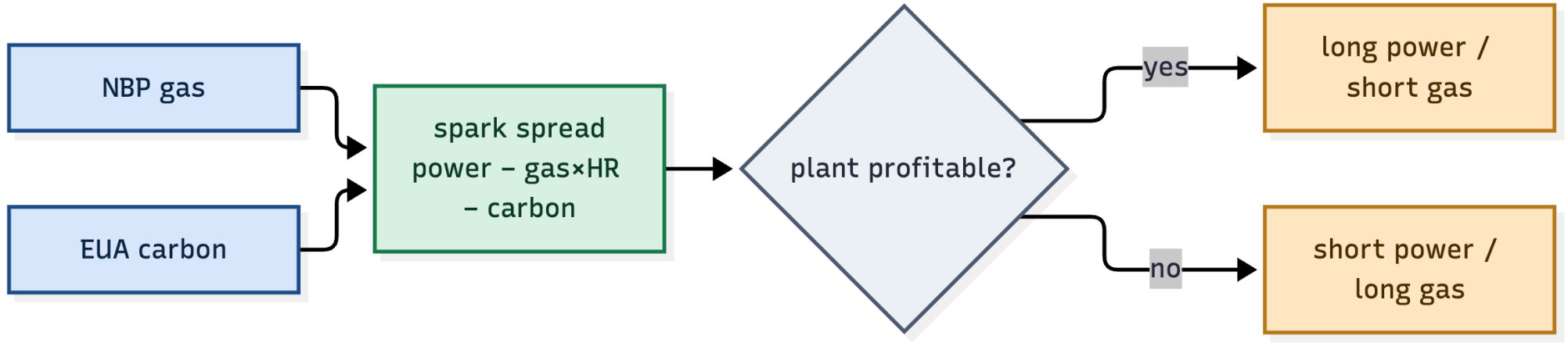


Figure 9.5 — power minus gas and carbon; trade the plant margin.

The spark spread ties gas to power. When a gas plant is profitable (spread rich), power is bid up relative to gas; when it is losing (spread negative), gas is bid up relative to power. Trade the mean reversion.

10. The risk lessons

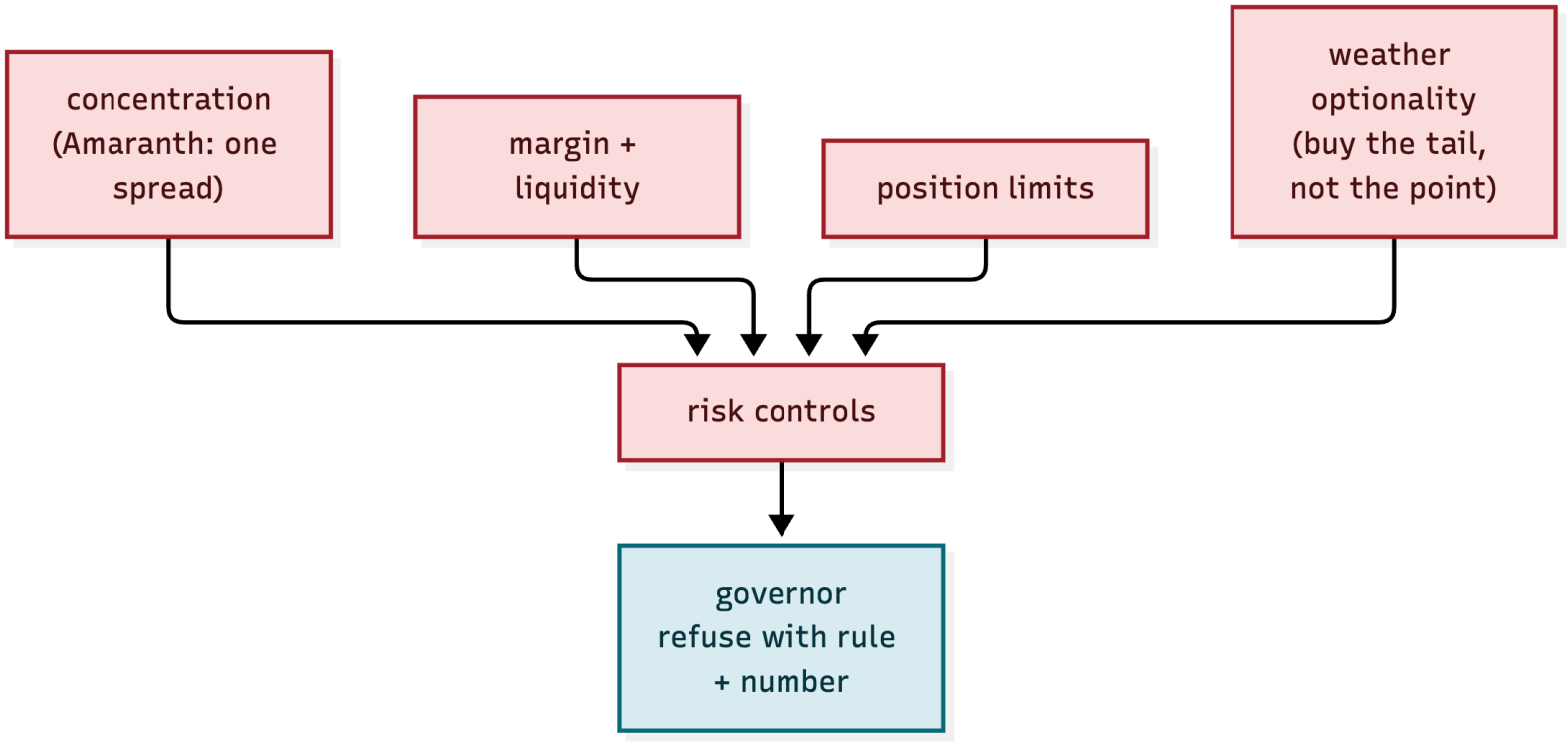


Figure 10.1 — concentration, margin, liquidity, limits and the tail, all before the governor.

Lesson	Source	Control
concentration kills	the 2006 fund	one spread ≠ one fund; limits
spreads are illiquid	the 2006 fund	size to the book, not the view
the tail is the risk	2021–22	options + stress, buy the tail
margin calls are real	2021–22	free-margin gate before every order
weather is optionality	2018	trade the forecast, hedge the miss

The envelope's governor is built exactly for this: **refuse with a rule and a number**, before the trade, while it can still be refused.

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11. How AI shapes gas trading — now and next

What it does. AI turns the same data a trader reads — price, weather, storage, flows, news — into *forecasts* and *signals* that are faster, more systematic and more probabilistic than a human alone.

Why it matters. Gas is a data-rich, weather-driven, event-driven market. The edge is in *fusing* many weak signals (a cold forecast, a low storage number, a pipeline outage headline) into one strong, probability-weighted view — which is exactly what machine learning is good at.

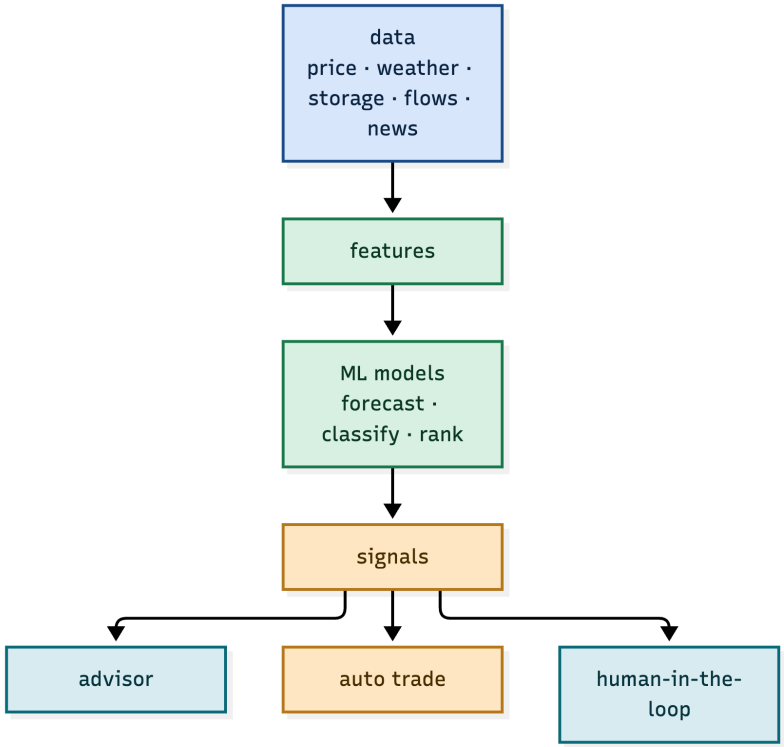


Figure 11.1 — data → features → ML models → signals → advisor / auto / human.

Layer	What AI does	Human's role
data	ingest + clean	verify sources
models	forecast, classify, rank	choose features, judge sanity
signals	produce a probability	override, size, approve
decision	recommend	own the risk

The human does not disappear — the human moves *up* the stack, from computing to supervising.

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12. Modelling — machine-learning price forecasts

What it does. Predicts the price (or the direction) of a contract — M+1, the winter, the summer-winter spread — from a feature vector.

Why it matters. The gas price is a function of *many* interacting inputs (HDD, storage, LNG, curve shape). ML finds the mapping where a hand-written formula would miss it.

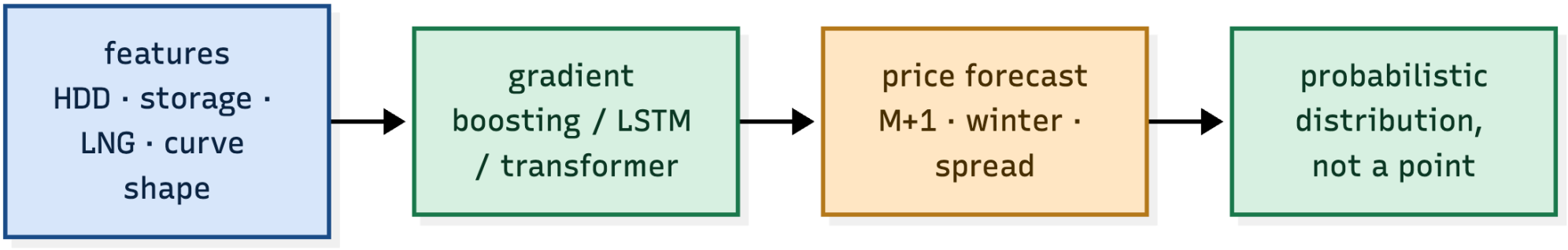


Figure 12.1 — features in, a price forecast out, with uncertainty.

Model	Strength	Use
gradient boosting (XGBoost/LightGBM)	tabular, interpretable	the workhorse — daily balance
LSTM / temporal	sequences, memory	demand over hours
transformer	long-range, attention	news + price, multi-horizon

The honest forecast is not a point — it is a **distribution**. A forecast of "M+1 at 120 p/th ± 15" is tradeable; a forecast of "120" is a guess.

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13. Probabilistic forecasting — trade the distribution

What it does. Forecasts quantiles (q05, q50, q95), not a single number.

Why it matters. The *asymmetry* is the trade. If the q95 is +40% but the q05 is –5%, the risk-reward is asymmetric and you size differently than a symmetric point forecast would say.

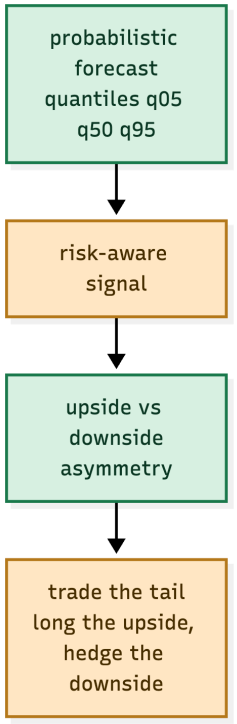


Figure 13.1 — quantiles give the upside/downside asymmetry, and you trade the tail.

Forecast	What it tells you	Action
q50 (median)	the central view	the base position
q05	the downside	the stop / the hedge
q95	the upside	the tail to buy

This is where ML beats a rule: a rule says "cold → bullish"; a probabilistic model says "cold → bullish with 70% confidence and a fat right tail".

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14. Weather-to-demand modelling

What it does. Maps a weather forecast (temperature, wind) to gas and power demand.

Why it matters. Weather is the single biggest short-term driver of gas demand — heating in winter, power burn. The model that maps degrees to therms is the foundation of every forecast.

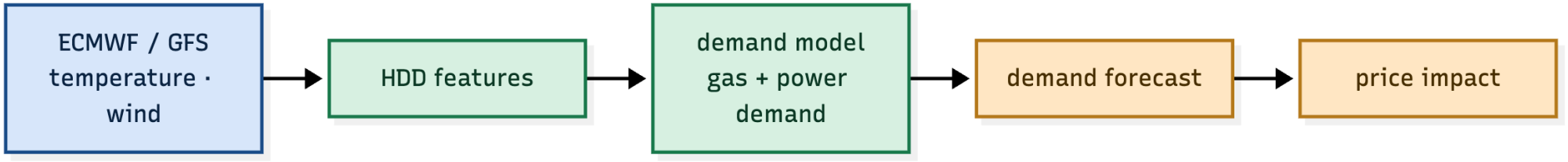


Figure 14.1 — ECMWF/GFS temperature → HDD → demand → price impact.

Input	Feature	Model
temperature	HDD (heating degree days)	demand regression / ML
wind	wind power output	power burn → gas demand
solar	solar output	same

Heating degree days are the workhorse: one degree below a baseline is one unit of heating demand, aggregated over population and buildings. The ML version learns the *non-linearity* (extreme cold is worse than linear).

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15. News and NLP — the event edge

What it does. Reads the wires and social in real time and turns them into *events* — a pipeline outage, an LNG cargo diversion, a sanction, a strike.

Why it matters. The biggest gas moves are event-driven (a pipeline cut, an invasion). The trader who learns of the event seconds faster — and sizes it correctly — has the edge.

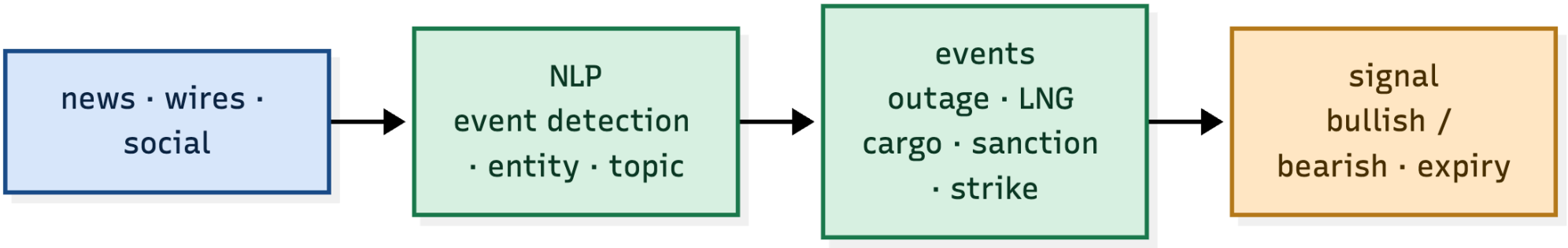


Figure 15.1 — NLP detects the event, the event becomes a signal with an expiry.

Event	Typical market impact
pipeline outage	bullish (supply cut)
LNG cargo cancelled	bullish (supply short)
mild weather revision	bearish (demand soft)
storage beat	bearish (looser)

NLP turns unstructured text into a *typed event with an expiry* — the signal is "bearish M+1, 2-day horizon", not just "negative news".

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16. Sentiment — the positioning edge

What it does. Scores the tone of news and the positioning of the market (CFTC-style commitments, option skew, flows).

Why it matters. When everyone is already long, the marginal buyer is gone — sentiment is the contrarian and the momentum signal at once.

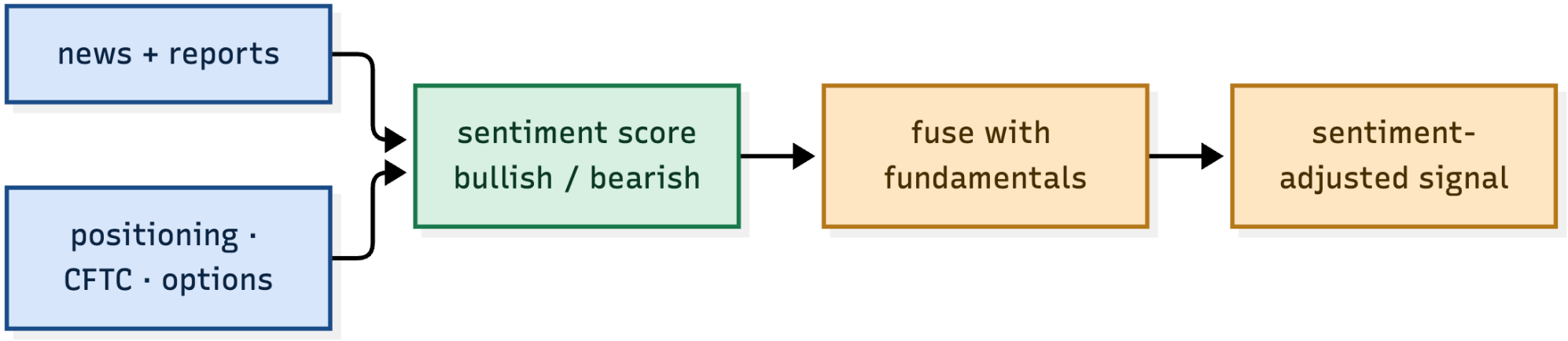


Figure 16.1 — news tone + positioning fuse into a sentiment-adjusted signal.

Sentiment	Reading	Action
crowded long	exhaustion risk	fade the longs
crowded short	squeeze risk	fade the shorts
neutral + fundamentals	clean signal	follow the fundamentals

Sentiment is a *weight*, not a direction — it tells you how much to trust the fundamental signal, and when a move is over-extended.

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17. The LLM research agent

What it does. A large-language-model agent that reads the lake, the news and the models, and *answers questions with evidence*.

Why it matters. The platform already records everything as envelopes. An LLM agent can read that record and explain a move — and, crucially, *cite the envelopes* as evidence.

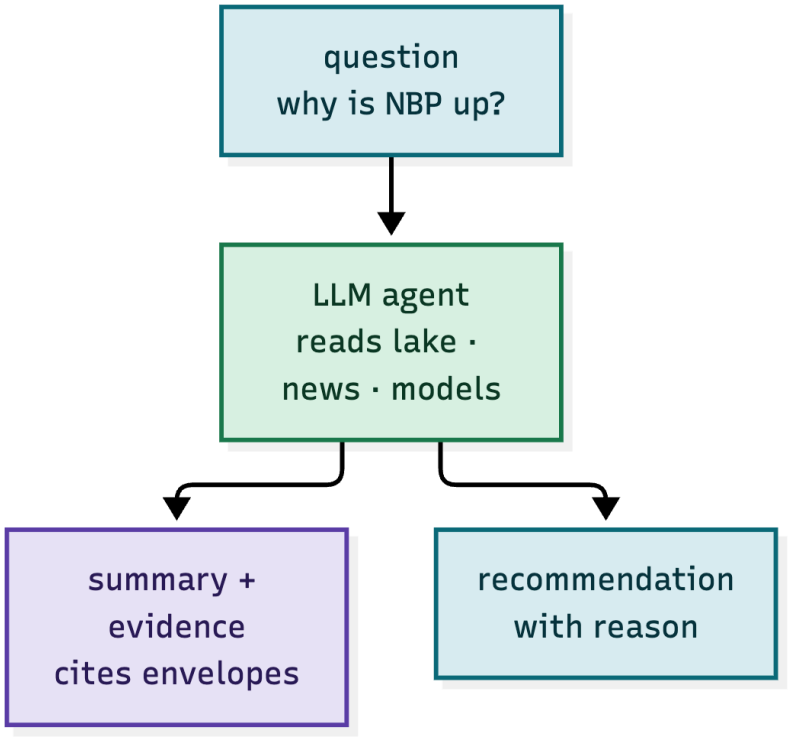


Figure 17.1 — a question in, a cited answer out.

> "Why is NBP up today?" → "Cold revision (+4 HDD) and a Norwegian outage (Kollsnes, –30 mcm/d), against storage at 60% (below 5yr avg). See envelopes #…, #…, #…."

The LLM does not replace the models — it *narrates* them, and it makes the advisory self-explanatory for compliance and for the human.

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18. Reinforcement learning — execution and market-making

What it does. Learns *how to act* (order size, timing, venue) to maximise a reward (slippage, fill, PnL).

Why it matters. Forecasting is "what"; execution is "how". A good forecast ruined by bad execution is a loss. RL optimises the *how*.

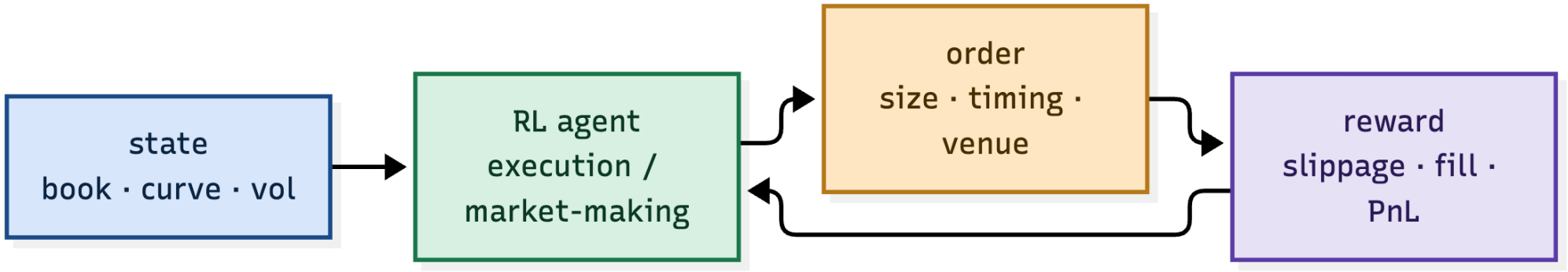


Figure 18.1 — state → action → reward, learned end to end.

Use	State	Action	Reward
execution	book, curve, vol	order size + timing	–slippage, fill
market-making	inventory, spread	quote	spread PnL – inventory risk

RL is the future of the *tactics*, while the *strategy* (what to be long or short) remains the fundamental and ML models.

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19. Generative models — scenarios and the tail

What it does. Generates *synthetic* scenarios — cold snaps, pipeline cuts, LNG booms — for stress and training.

Why it matters. The tail is where the money and the risk are. A generative model can *sample* the tails that history has not yet shown, so you train and stress for the 1-in-50 winter, not just the 1-in-5.

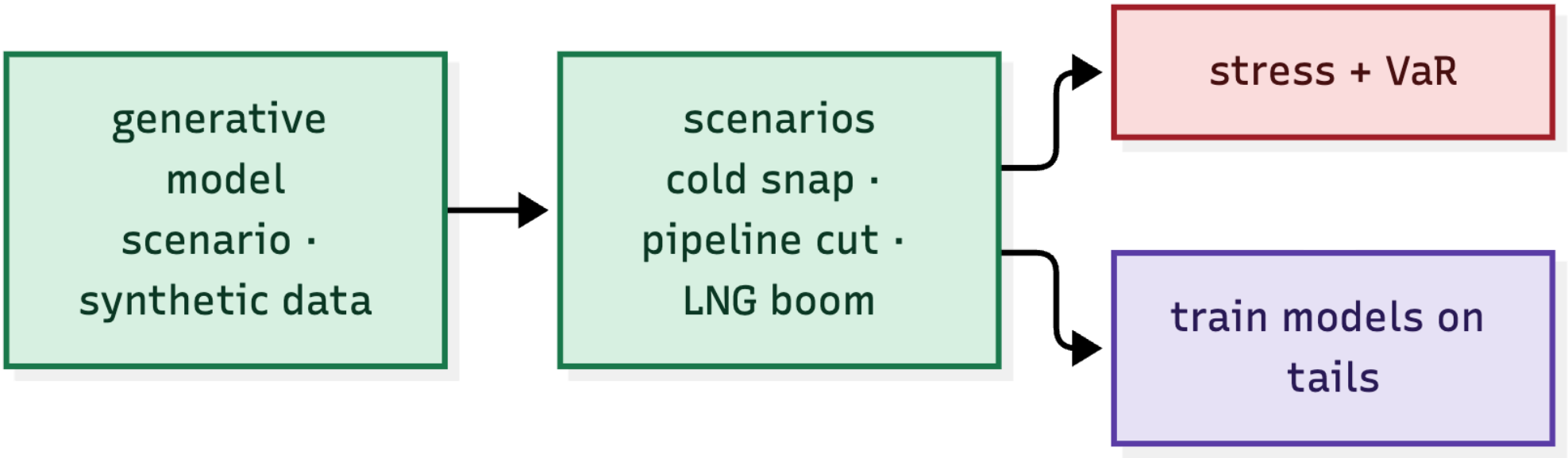


Figure 19.1 — scenarios feed stress tests and tail-aware training.

Use	What it gives
stress / VaR	the tail losses
training	models that have seen the extreme

This is the answer to "what happens if we get another 2022": you generate it, and you size for it.

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20. Multi-agent systems on the envelope

What it does. Runs many specialised agents — weather, fundamental, news, sentiment — each publishing on the bus, and a meta-agent that fuses them into a tier.

Why it matters. This is the AI version of the architecture we already built: each agent is a calculation agent, the bus is the nervous system, the meta-agent is the book's intel window. AI slots *into* the envelope, it does not replace it.

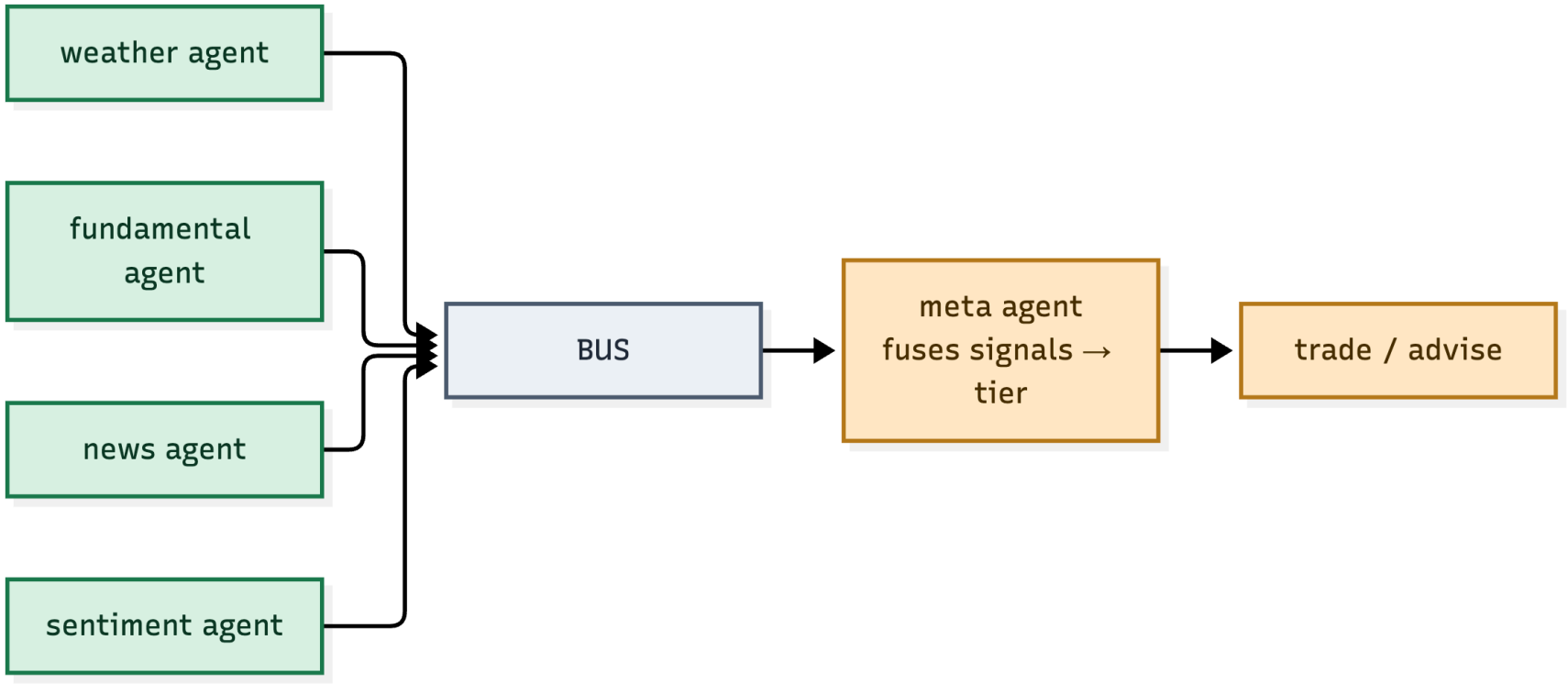


Figure 20.1 — weather, fundamental, news, sentiment agents → bus → meta-agent → trade.

The envelope architecture was built for this: **models publish numbers, the book accumulates them and confirms a pattern.** AI models are just more, and better, numbers.

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21. Human-in-the-loop

What it does. Keeps a human in the decision — the AI proposes, the human sizes, approves, vetoes — and records who did what.

Why it matters. Regulation (MiFID II, suitability) and risk demand accountability. The AI can be wrong in ways a human catches (a headline the model mis-read, a tail it has not seen). The human is the *guardian*, and the envelope records the override.

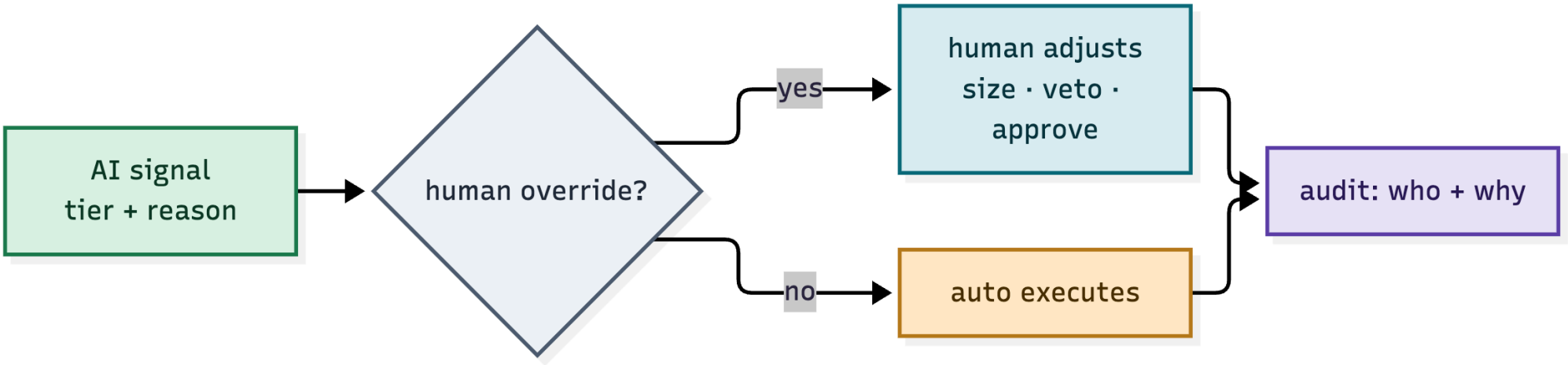


Figure 21.1 — AI signal → human override or auto → audit of who + why.

Mode	Human's role
advisory	human reads the AI view
systematic	human approves the rules
auto	human sets the bounds, AI executes within them

22. The data stack for AI

What it does. The pipeline from raw data to a deployed agent.

Why it matters. AI is only as good as the data. The stack — clean, align, feature, train, validate, deploy — is where most AI projects fail, and where the envelope helps: every stage is a stamped, versioned artefact.

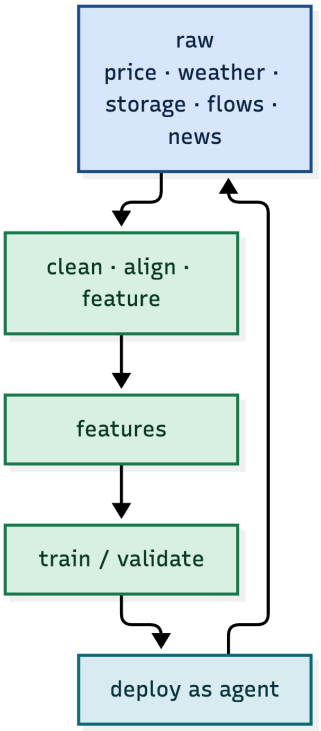


Figure 22.1 — raw → clean → features → train → deploy, looping.

Stage	Envelope role
raw	recorded as market/fundamental envelopes
features	a derived dataset, versioned
train	a model artefact, versioned
deploy	an agent that publishes signals

Versioned data + versioned models = a forecast you can reproduce, which is the same traceability the trading platform already guarantees.

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23. Ensembles and signal fusion

What it does. Combines the fundamental, ML, weather and sentiment models into one signal with a confidence.

Why it matters. No single model is right all the time. The ensemble is more robust than the best single model — it is the *pattern* of agreement that matters, exactly like the book's intel window.

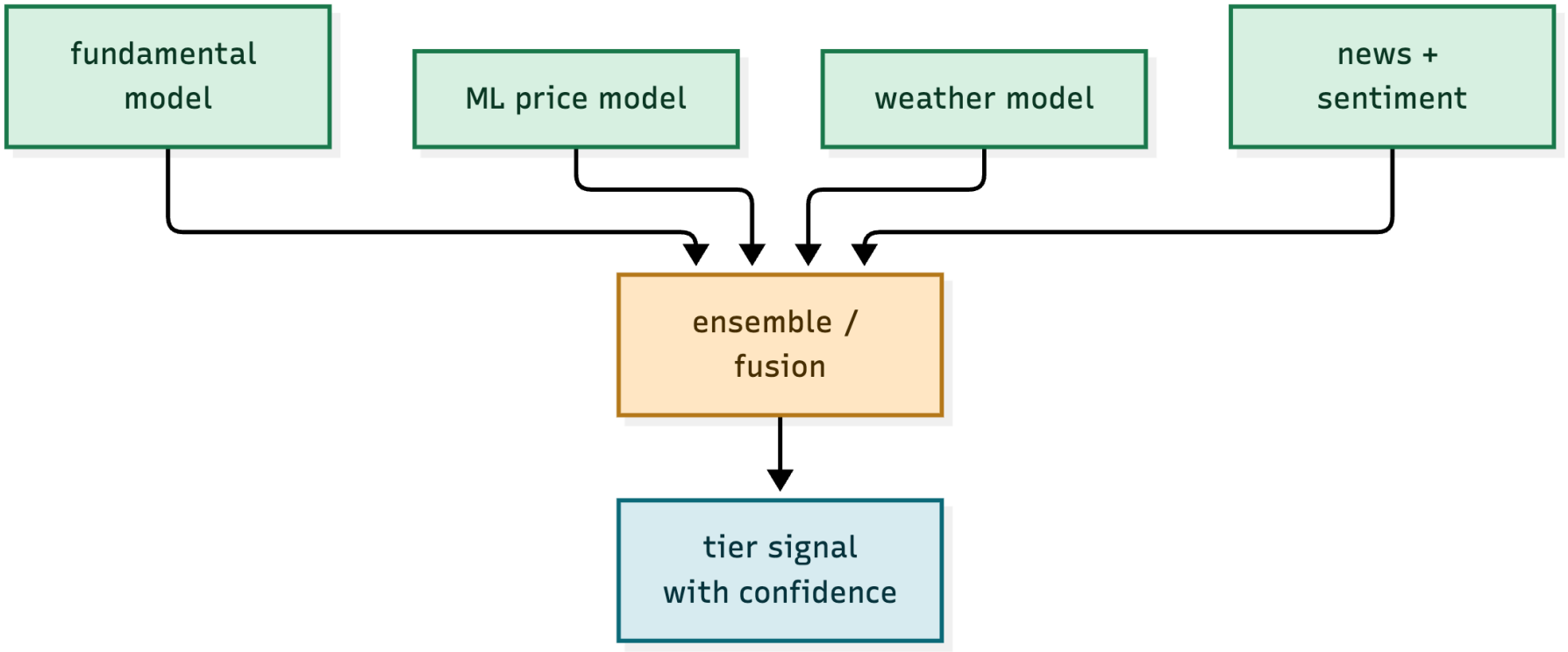


Figure 23.1 — four models fuse into one tier signal with confidence.

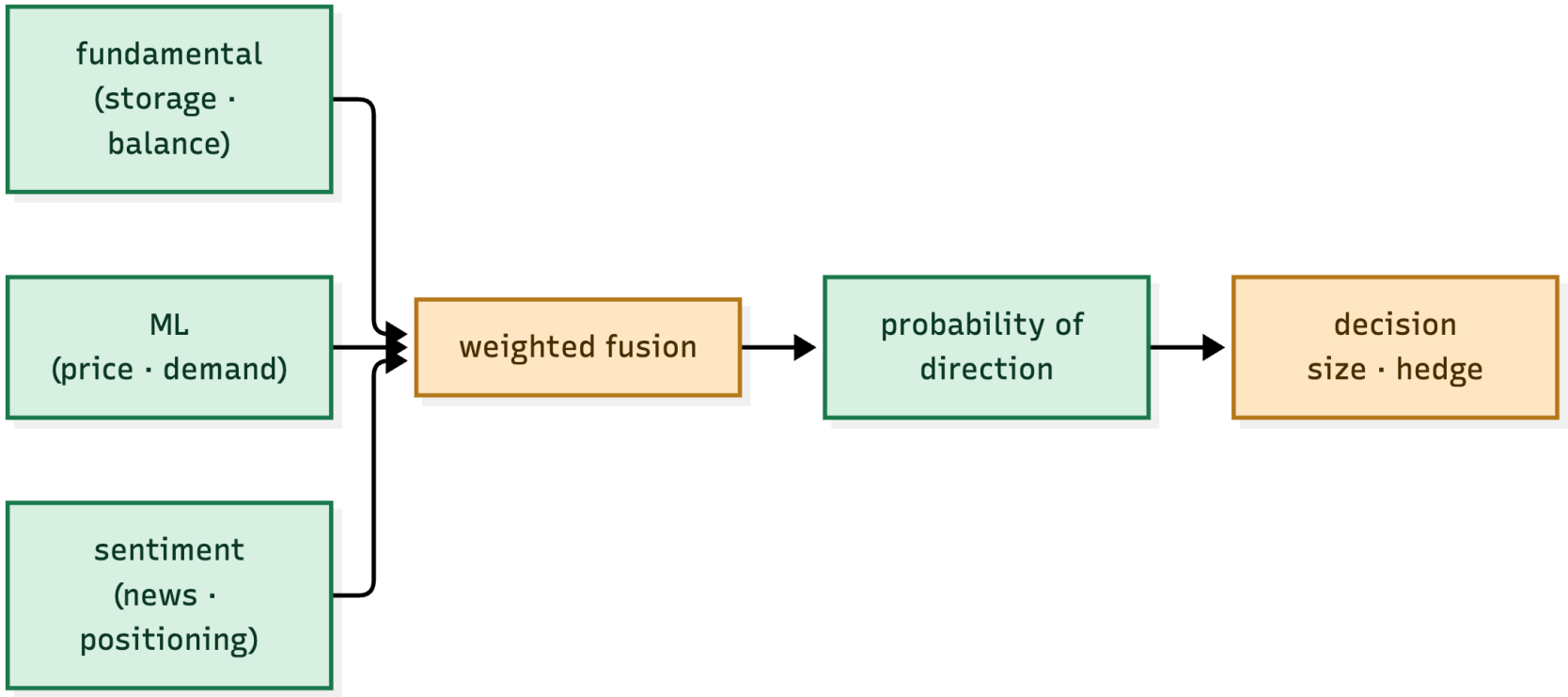


Figure 23.2 — fundamental + ML + sentiment → probability → decision.

Fusion	How
voting	count agreeing models
weighted	weight by track record
stacked	a meta-model learns the weights

The tier signal is the *confidence* — and confidence is what separates a trade from a gamble.

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24. Now → next → future



Figure 24.1 — ML forecasts today, LLM agents + RL next, autonomous desks later.

Horizon	Capability
now	ML price/demand forecasts, NLP news, sentiment
next	LLM research agents, RL execution, generative scenarios
future	autonomous multi-agent desks, human as supervisor

The direction is clear: the human moves from *computing* to *supervising*, and the platform — with its envelope, its bus, its audit trail — is already built to host that future.

---

25. Governance — the risks of AI trading

What it does. Governs the AI like it governs any model: versioned, validated, bounded, and accountable.

Why it matters. An AI that trades gas can fail silently (a drift in the weather model) or loudly (a mis-read headline). The same controls that apply to any model apply to AI — plus new ones.

Risk	Control
model drift	monitor forecast error, retrain on schedule
hallucination (LLM)	cite envelopes, never invent a fact
overfitting	validate out-of-sample, walk-forward
tail blindness	generative stress, size for the tail
opacity	a reason for every signal, a human override

The envelope is the answer to all of them: **every signal carries a reason, a timestamp and a provenance, and every decision is auditable.** AI does not change that — it makes it more necessary.

---

26. Corruption in energy markets

What it is. Energy markets — gas and power especially — have been repeatedly abused, because the underlying is physical, the benchmark is an assessment, and one big player can move a thin market. Understanding the abuses is part of trading it honestly.

Why it matters. The same mechanics that make gas tradable (a physical balance, a price-assessment window, an illiquid curve) are the mechanics that get manipulated. A trader must both *avoid* the abuses and *recognise* them in the tape.

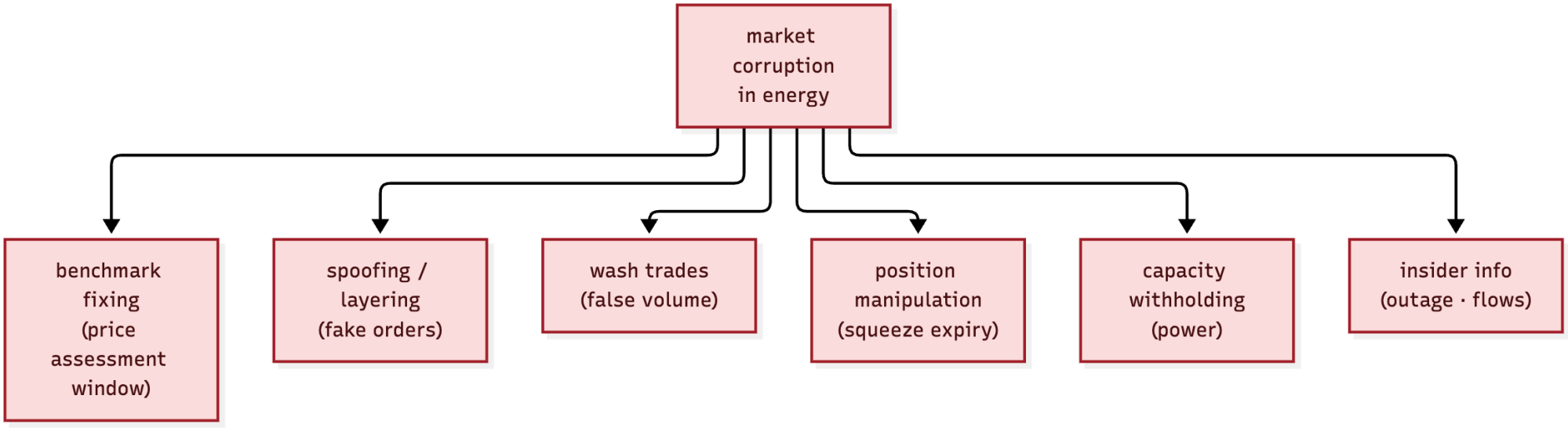


Figure 26.1 — benchmark fixing, spoofing, wash trades, position manipulation, withholding, insider.

Abuse	What it is	Example pattern
benchmark fixing	trading in the assessment window to move the published price	trading at the fix to mark a book
spoofing / layering	placing orders you intend to cancel to move price	a wall of bids pulled at the last moment
wash trades	trading with yourself to fake volume	two accounts crossing the same ticket
position manipulation	squeezing a delivery/expiry point	cornering the prompt month
capacity withholding	a generator withholds to lift power price	a plant "outage" at peak
insider information	trading on non-public outage/flow data	a physical trader acting before an outage is public

The UK and EU regimes — **REMIT** (energy market integrity), **MAR** (market abuse), and the CFTC across the Atlantic — prohibit these, with reporting, position limits and surveillance.

---

27. Liquidity — where the risk hides

What it is. The gas curve is *not* uniformly liquid. The front month is tight; the back (seasons, years) is thin; and the spreads and options are thinner still. Liquidity is the difference between a trade you can exit and a trade that owns you.

Why it matters. The 2006 calendar-spread collapse and the 2022 spike were both, at root, *liquidity events*: when a position is too big for the market, the exit *is* the move.

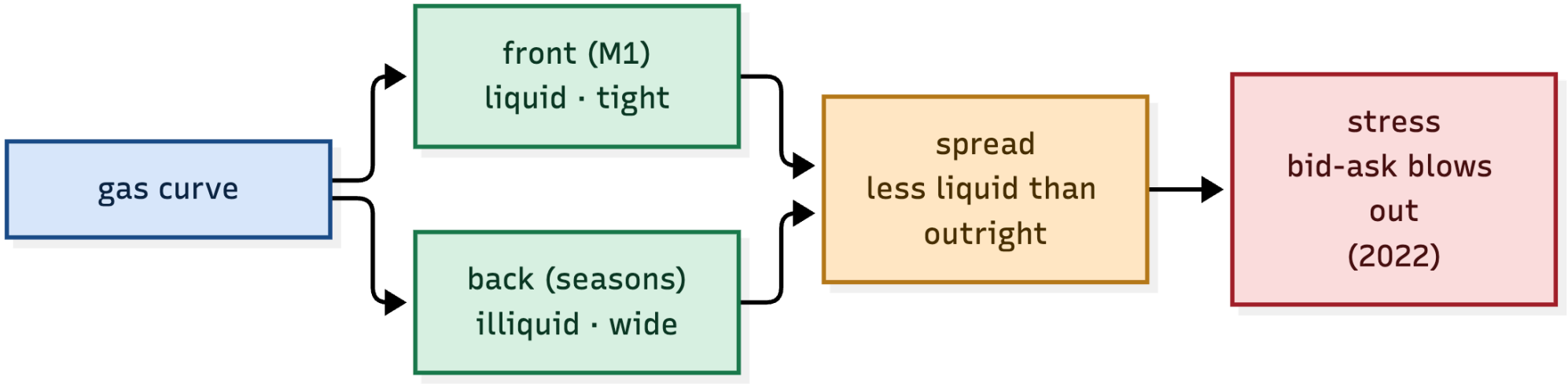


Figure 27.1 — front liquid, back illiquid; the spread is thinner than the outright.

Instrument	Liquidity	Risk
front month (M1)	tight, deep	low
seasons / years	thin, wide	high
calendar spread	thinner than outright	high (the 2006 lesson)
options / tail	very thin	very high, especially in stress

The rule follows: **size to the liquidity, not to the conviction.** A correct view in an illiquid instrument is still a loss if you cannot get out.

---

28. Governance and surveillance

What it does. The platform's own answer to corruption and illiquidity: every order, fill and signal is an envelope; surveillance is a *view over the lake*, not a separate log.

Why it matters. The same traceability that makes a trade auditable makes a *manipulation* auditable. A spoof is a pattern of cancelled orders in the record; a wash is two accounts crossing; a squeeze is a position against the limit. All are detectable from the envelopes.

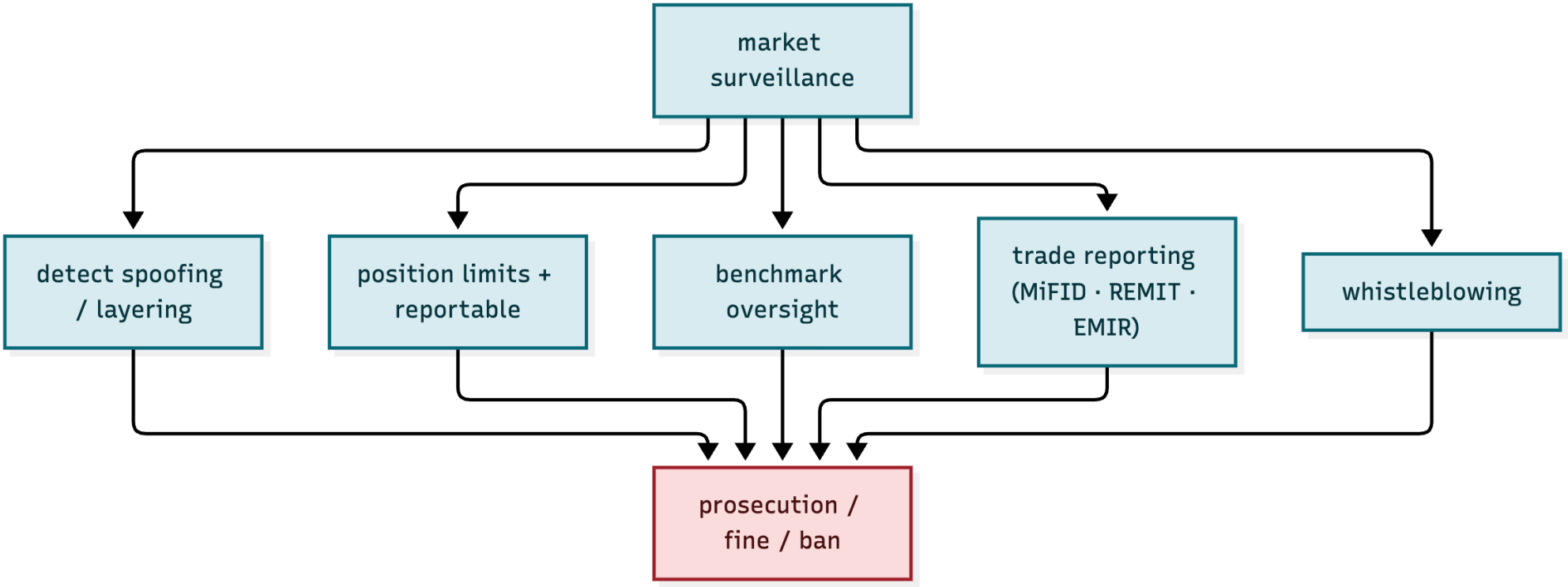


Figure 28.1 — spoof/layering detection, position limits, benchmark oversight, reporting, whistleblowing.

Control	What it watches
spoof / layering detection	order-to-trade ratios, cancel patterns
position limits	exposure against the exchange + regulatory caps
benchmark oversight	trading around the assessment window
reporting	REMIT / MAR / EMIR / MiFID II
whistleblowing	a channel for the inside report

The envelope is the honest broker: **it records everything once, in order, with a correlation id — so both the trade and the attempt to game it leave the same kind of trace.**

---

29. Summary — trading UK gas, honestly and well

- **Know the balance** — Norway, UKCS, LNG, interconnectors; power, heat, industry, exports.
- **Know the structure** — the UK's ~9 days of storage, the summer-winter spread.
- **Know the drivers** — weather (HDD), storage, geopolitics.
- **Know the trades** — weather, storage, the calendar spread (sized), the basis, the spark.
- **Know the risks** — concentration, illiquidity, the tail, corruption.
- **And let AI help** — forecasts, news, sentiment, agents — all on the same envelope, so every signal has a reason and every trade is auditable.

That is the whole game: **a physical market, an honest platform, and a disciplined edge.**

---

30. Why ATLAS is the foundation for gas trading

What it does. ATLAS is the *data god*: it **collects**, **stores** and **transforms** every piece of market data, and turns it into the envelopes that everything else consumes.

Why it matters. Gas is a data-fusion problem — weather, storage, flows, news, sentiment, price — and a compliance problem. ATLAS is the layer that does both: it *collects* the raw data, *stores* it append-only, and *transforms* it into derived signals, with every step versioned and auditable.

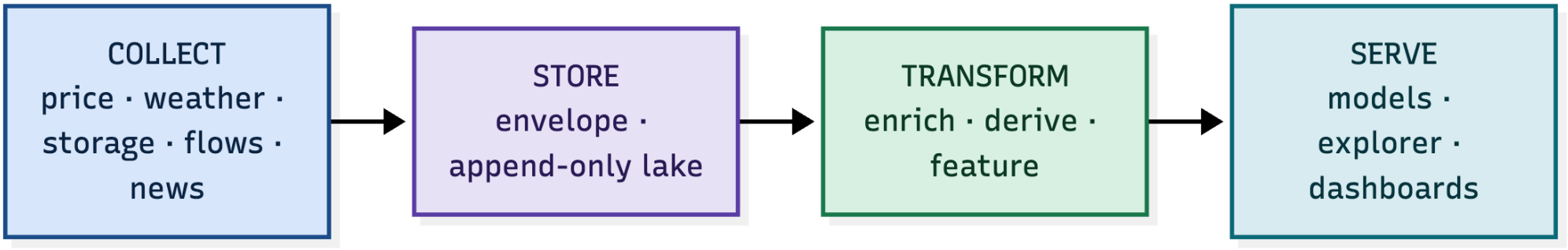


Figure 30.1 — ATLAS is the backbone: data in, stored once, transformed, served to all.

Stage	What ATLAS does
collect	every source publishes an envelope on the bus
store	the recorder writes it once into the append-only lake
transform	enrich, derive, feature-engineer into derived datasets
serve	models, the explorer, the dashboards read the same lake

This is the answer to "would ATLAS be beneficial?" — **yes**, because the hard problems in gas are *collection, storage and transformation*, and ATLAS is already the best answer to all three.

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31. The transformation pipeline

Raw data is not a signal. The transformation pipeline turns raw envelopes into derived features, and it is where most of the value is added.

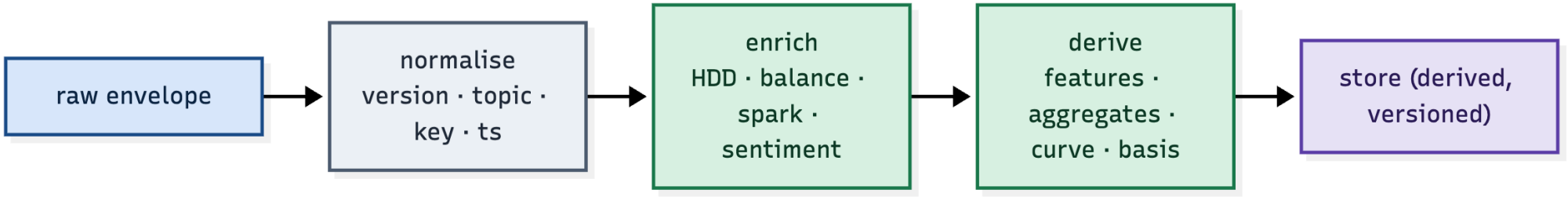


Figure 31.1 — every raw envelope is normalised, enriched and derived, versioned at each step.

Step	Example
normalise	raw temperature → a `fundamental.weather` envelope with a key + timestamp
enrich	temperature → **HDD** (heating degree days)
derive	HDD + storage → a **balance forecast**; gas + carbon → a **spark spread**
store	the derived dataset is versioned, so a forecast is reproducible

Because every transformation is itself an envelope, the *lineage* is preserved: a forecast carries the references to the raw inputs it used, with their ages. That is the ATLAS guarantee — and it is exactly what a gas forecast needs to be auditable.

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32. The gas-specific transformations

The gas domain is where ATLAS's "transform" shines, because each raw input becomes a *derived* signal:

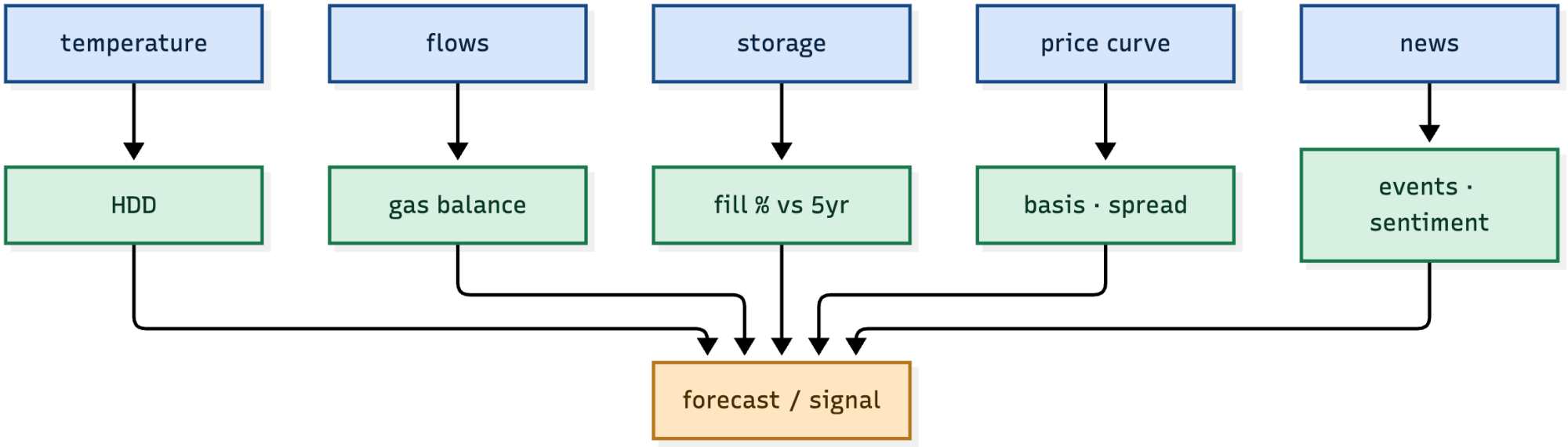


Figure 32.1 — temperature→HDD, flows→balance, storage→fill, price→basis, news→events.

Raw	Transformation	Derived signal
temperature	heating degree days	demand pressure
pipeline/LNG flows	net balance	supply tightness
storage	fill % vs 5yr	winter risk premium
price curve	basis, spread	carry / scarcity
news	NLP events + sentiment	shock direction

Each derived signal is a *pure transformation* published as an envelope — which means it can be reproduced, versioned and audited. That is the difference between a spreadsheet of numbers and a trading system you can trust.

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33. The ATLAS benefits, mapped to gas

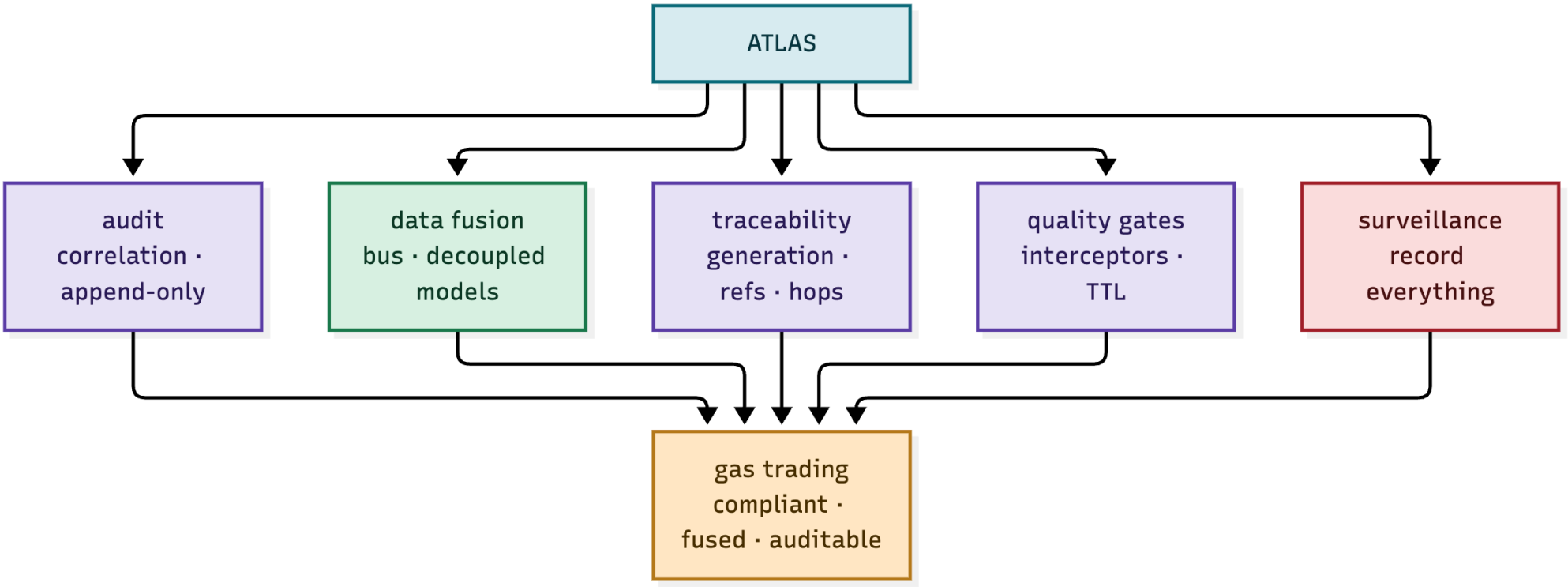


Figure 33.1 — audit, fusion, traceability, quality gates and surveillance, all feeding gas trading.

ATLAS capability	What it gives gas
correlation id + append-only lake	an audit trail from market tick to fill
the bus + decoupled models	fusion of weather, storage, news and sentiment
generation, refs, hops	full lineage — what a forecast read, and how old
interceptors + TTL	data-quality gates — freshness, authority, keying
record everything	surveillance — spoofing and wash trades are visible

The verdict, restated: ATLAS does not give you the *gas edge* — the weather model, the storage model, the spark spread. It gives you the **trust, the traceability and the substrate** that let that edge be traded, explained, audited and governed. For a commodity as regulated, event-driven and data-rich as UK gas, that is the foundation — not

an add-on.

---

34. Why a long-term curve trader would love this — and why it outclasses a terminal

What this is. A long-term gas curve trader holds positions across months and seasons — calendar spreads, butterflies, the shape of the curve — for days and weeks. Their edge is *slow and fundamental*, not tick-by-tick. This section argues that ATLAS + the envelope is the platform that edge has always needed.

Why it matters. The incumbent tool (a data terminal) gives you the *price*; ATLAS gives you the price *and the reason and the record*. That difference is everything for a portfolio manager who must explain, replay and audit their book.

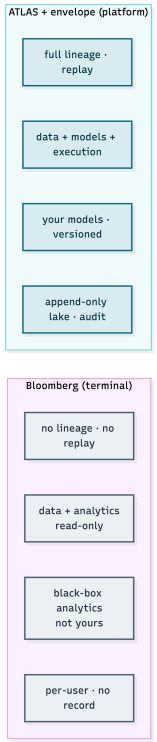


Figure 34.1 — a terminal is read-only; a platform records, versions and replays.

	A terminal	ATLAS + the envelope
data	yes, read-only	yes, plus *your* sources
analytics	theirs, black-box	yours, versioned, replayable
lineage	none	full refs, per signal
audit	none	append-only lake
execution	no	yes, on the same bus
IP	rented	owned

A terminal tells you *what the price is*. ATLAS tells you *why your model said what it said, what it read, and what you did about it* — and proves all three.

---

35. Yes — it is the envelope

The magic is not the database or the UI. It is the **envelope**: the tiny, stamped packet that carries its own provenance, lineage, correlation and pipeline. Everything else in this document — the fusion, the audit, the replay, the surveillance — is a consequence of the envelope being the *unit of record*.

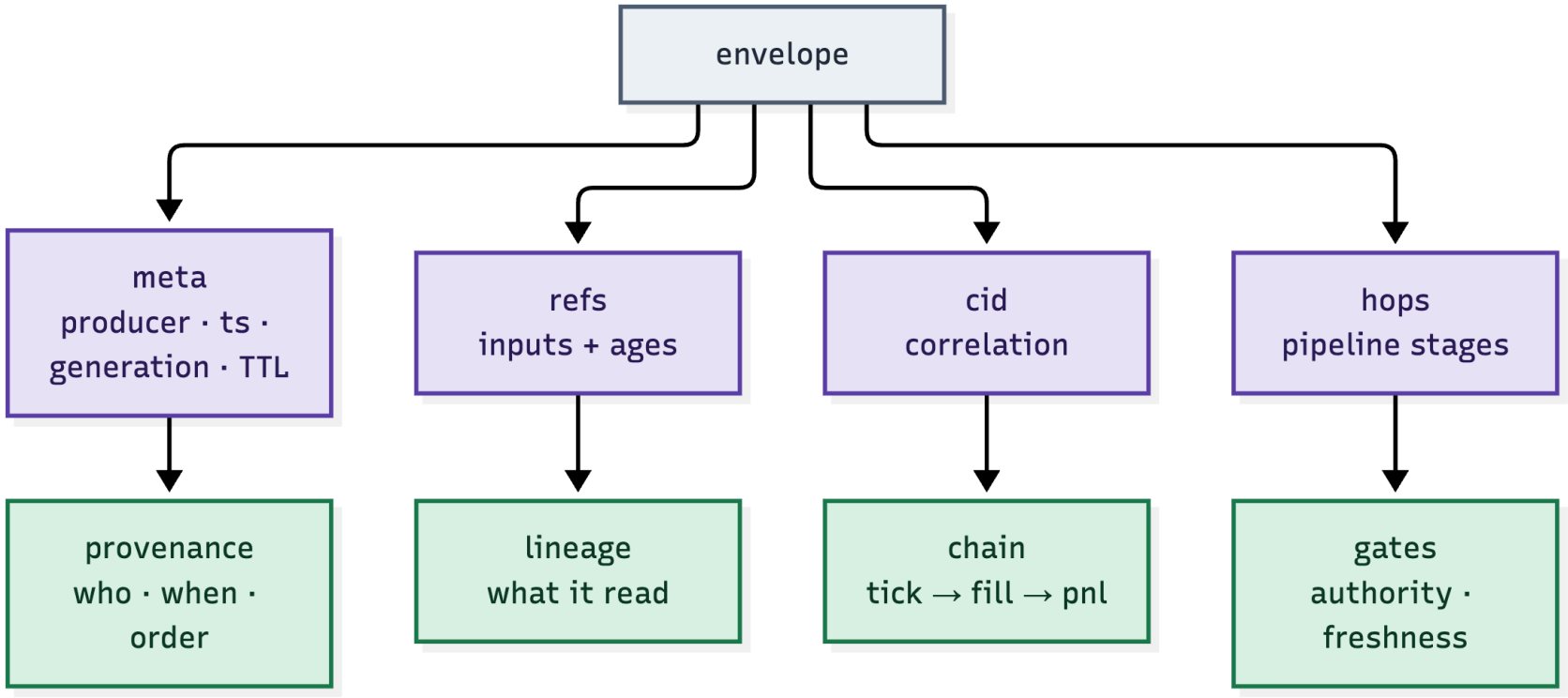


Figure 35.1 — meta, refs, cid, hops: provenance, lineage, chain, gates.

Feature	What it answers
`meta` (producer, ts, generation, TTL)	who, when, in what order, how fresh
`refs` (inputs + ages)	what this decision read, and how old
`cid` (correlation id)	the whole chain: tick → decision → fill → pnl
`hops` (pipeline)	which gates ran, and what they refused

The rest of this section is **case studies** — each one is a feature of the envelope, shown as a concrete example a curve trader or PM would actually hit.

36. Case studies — the envelope in action

36.1 Lineage — "why did the model go long Q1?"

A PM asks why the model went long Q1 on 3 February. The forecast's **refs** answer it:

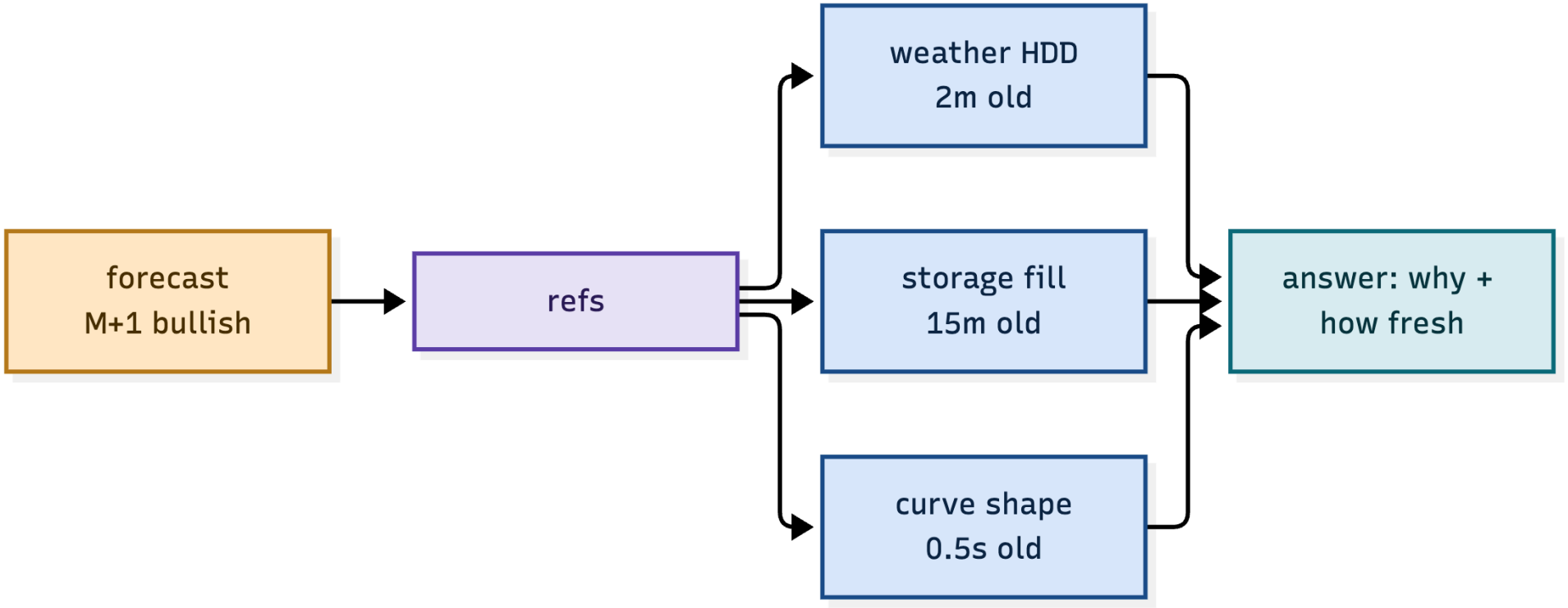


Figure 36.1 — the forecast carries its inputs and their ages.

```
forecast M+1 bullish
  ├─ ref: fundamental.weather  (HDD +4, 2m old)
  ├─ ref: fundamental.storage  (fill 60%, 15m old)
  └─ ref: market.curve         (backwardated, 0.5s old)
```

The answer is not a recollection — it is **the record**. The PM sees the exact inputs, and their ages, and knows the decision was well-founded (or stale). That is the difference between a model you trust and a model you hope is right.

36.2 Correlation — "replay the whole trade"

One correlation id follows the work from the market tick to the P&L:

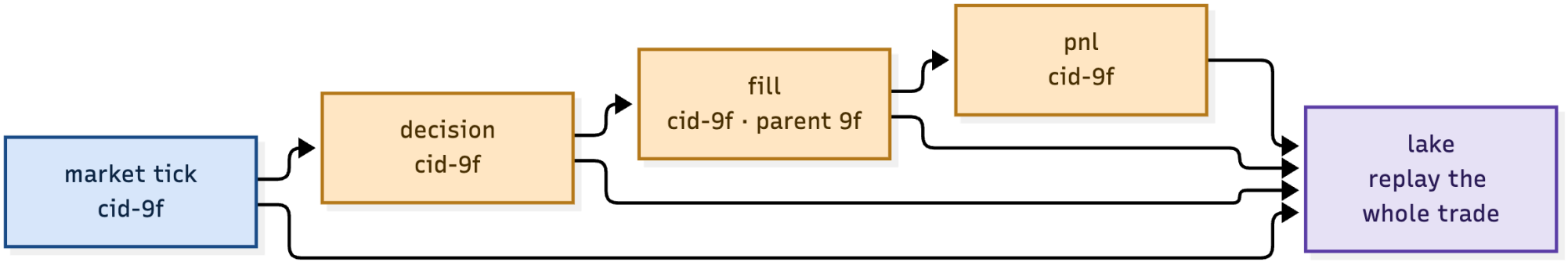


Figure 36.2 — one cid resolves the tick, the decision, the fill and the pnl from the lake.

```
$ resolve cid-9f
  market.tick     09:02:01  (the trigger)
  model.decision  09:02:03  long M+1 · cid-9f
  model.fill      09:02:05  net +0.4% · parent cid-9f
  model.pnl       09:02:05  equity +£1,240 · cid-9f
```

From one id, the entire life of a trade is reassembled. For a curve trader holding for weeks, that means every position's *whole story* is recoverable — for the PM, the risk team, and the regulator.

36.3 Generation — "the weather feed silently died"

A weather feed stops publishing. Because the envelope carries a **monotonic generation** per topic, the gap is *detected*, not inferred:

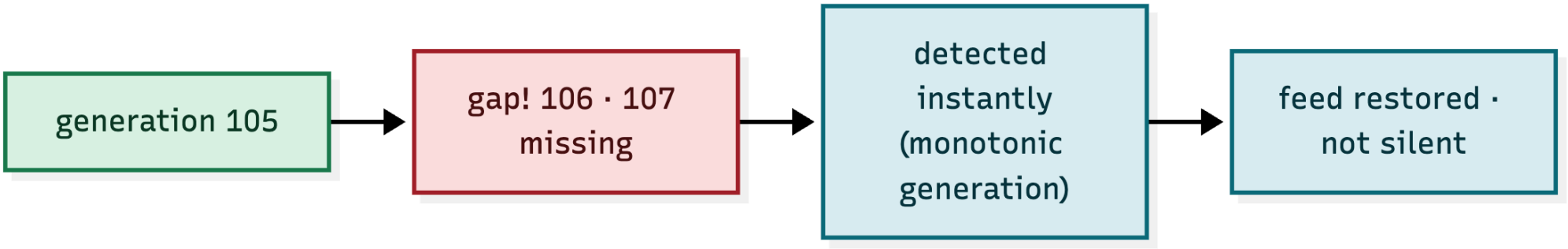


Figure 36.3 — a gap in generation is a fact, caught instantly.

```
fundamental.weather  generation 105
fundamental.weather  generation 108   ← 106, 107 missing
```

A terminal would simply show a stale (or blank) weather number and you would never know. ATLAS *flags the gap* — the forecast that would have used a silent feed is refused as stale, and the feed is restored. This is the difference between "the data was wrong" and "the data went silent, and we caught it".

36.4 Versioning — "why did the view change?"

The forecast changed overnight. The **versioned** envelope shows exactly why:

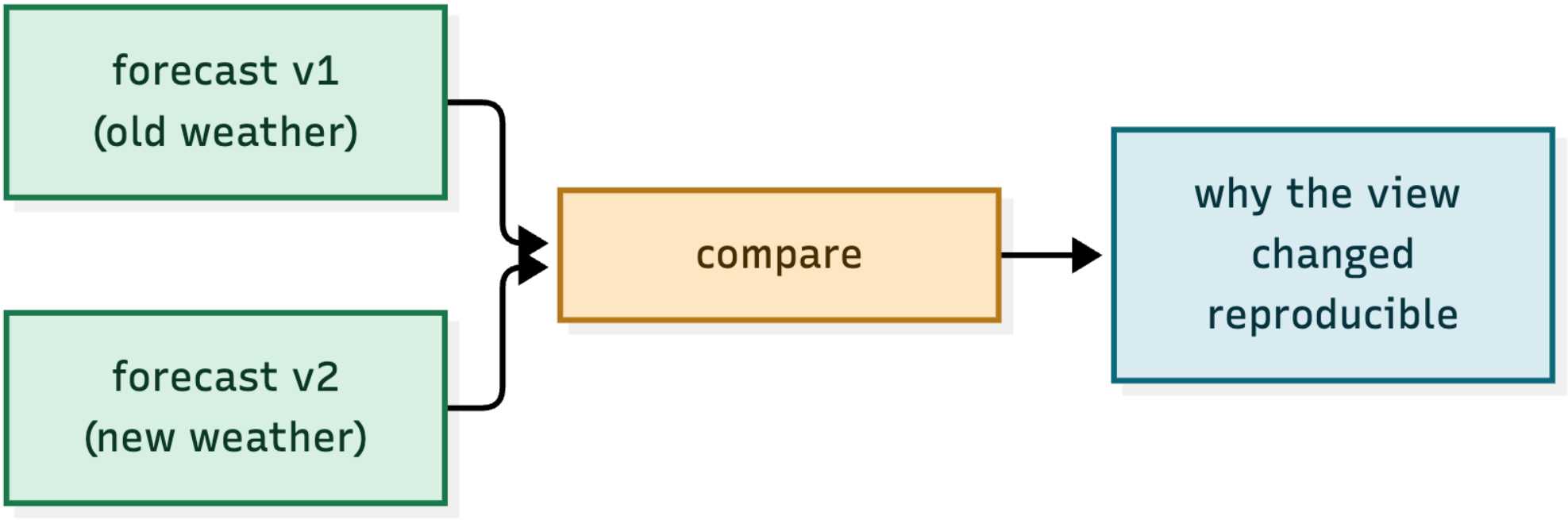


Figure 36.4 — two versions differ by one input, and the difference is reproducible.

```
forecast v1 (old weather):  M+1 bearish
forecast v2 (new weather):  M+1 bullish   ← the cold revision
```

Because data and models are versioned, the change in the view is *attributable* to the change in the input — not to a mystery. A PM can show the trader, the risk team and the client exactly why the book changed.

36.5 Freshness — "the stale storage number"

The envelope's **TTL** and the freshness interceptor refuse a stale input:

```
model.decision M+1 long
  → freshness interceptor: REFUSED
    reason: storage ref 32h old (max 15m)
```

A terminal would let you trade on a number you *think* is live. The envelope refuses to. For a market where a storage print or a weather run is the whole trade, that freshness gate is the difference between an informed position and a stale one.

37. The curve trader's day, with ATLAS

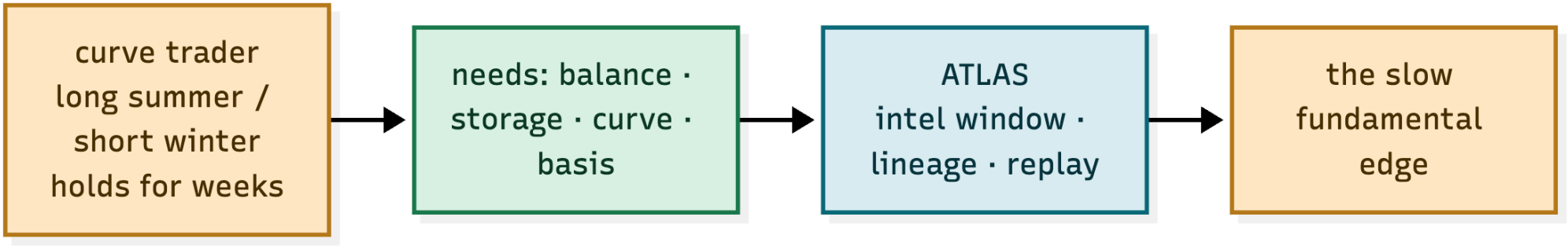


Figure 37.1 — the slow fundamental edge, on a platform that records it.

The curve trader does	ATLAS provides
reads the balance, storage, weather	fused envelopes, with lineage
forms a slow view (summer-winter, basis)	the intel window confirms the pattern
expresses it via spreads	orders + fills on the bus
holds for weeks	every mark, every P&L, recorded
explains the P&L to the PM	the correlation chain + the case file

A long-term curve trader does not need a faster terminal. They need a **system that remembers why they are in the trade, proves it, and replays it.** That is ATLAS, and that is the envelope.

---

38. More envelope features — the fascinating part

The envelope does more than record. It *remembers*, *replays* and *proves*. These are the features that make a trader or PM stop and say "oh — that's why it's different."

38.1 The intel window — conviction over days, not ticks

A curve trader's edge is slow. The book's **intel window** is the memory that matches it: it accumulates signals over days and only acts when a *pattern* forms.

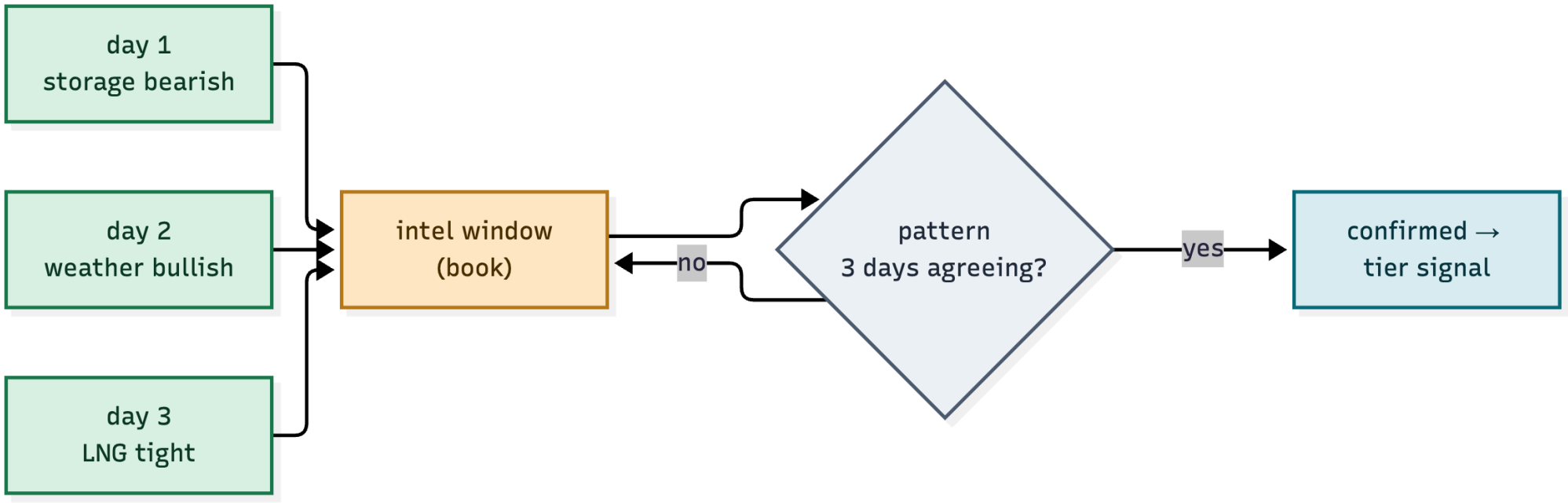


Figure 38.1 — three days of agreeing signals become one confirmed tier signal.

```
day 1: storage bearish   →  recorded (1/3)
day 2: weather bullish   →  recorded (2/3)
day 3: LNG tight         →  recorded (3/3)  →  pattern confirmed
```

A tick-based system would have traded each day's noise. ATLAS waits for the *streak* — which is exactly the discipline of a long-term curve trader, now machine-enforced.

38.2 The transform chain — every step is a packet

From raw temperature to the final fill, **every step is an envelope**, so the whole chain is versioned and replayable.

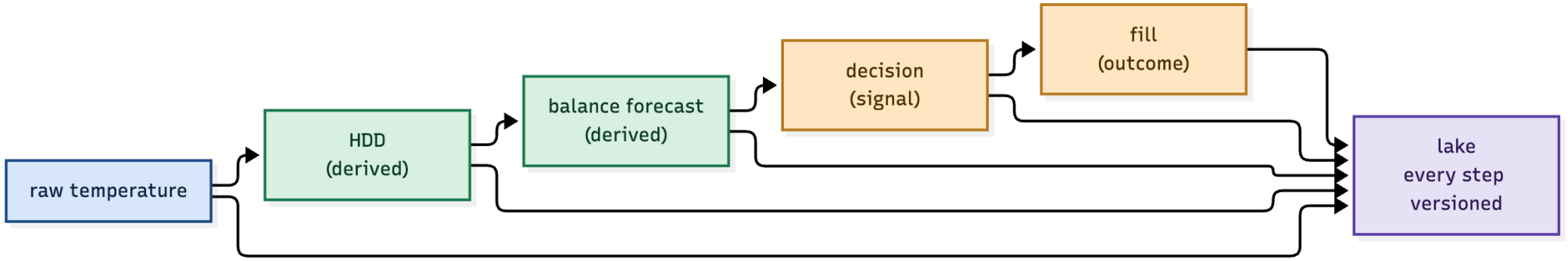


Figure 38.2 — the full chain, each step a versioned envelope in the lake.

```
raw temperature  →  HDD  →  balance forecast  →  decision  →  fill
   (envelope)      (envelope)    (envelope)        (envelope)   (envelope)
```

The trader can point at *any* link and ask "what did this read, and was it right?" — and the answer is in the lake, not in someone's memory.

38.3 The refusal record — "why didn't we trade?"

Most systems record only the trades. ATLAS records the **non-trades** too — every refusal is an envelope naming the rule and the number.

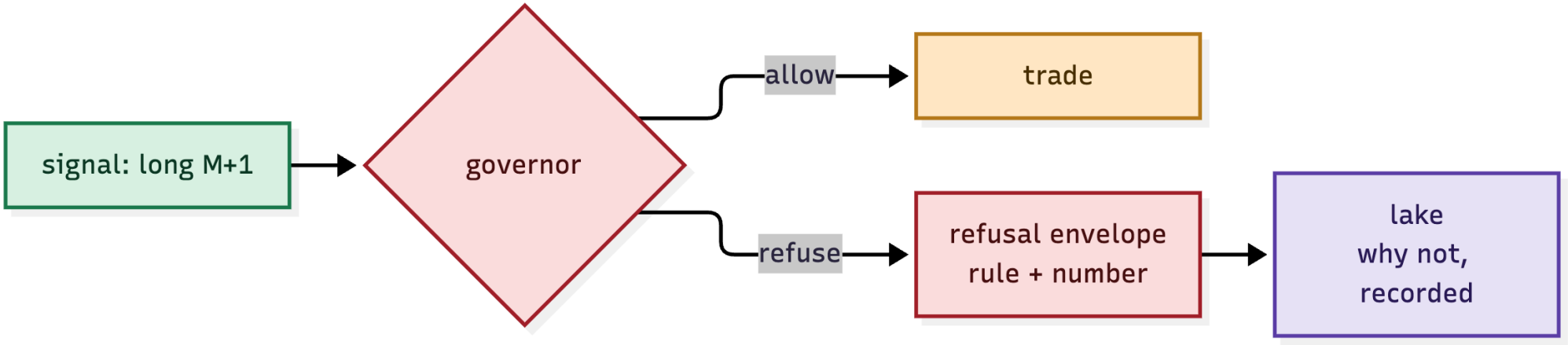


Figure 38.3 — a refused signal is itself an envelope, so "why not" is answerable.

```
signal: long M+1
  → governor: REFUSED  (gross 12.4× > limit 8×)
```

For a PM reviewing the book, this is gold: the *absence* of a trade is explained, not a mystery. The discipline is visible — and the discipline is the edge.

38.4 Replay — the time machine

The lake is append-only, so any day can be **replayed with the exact same data, in the exact same order**.

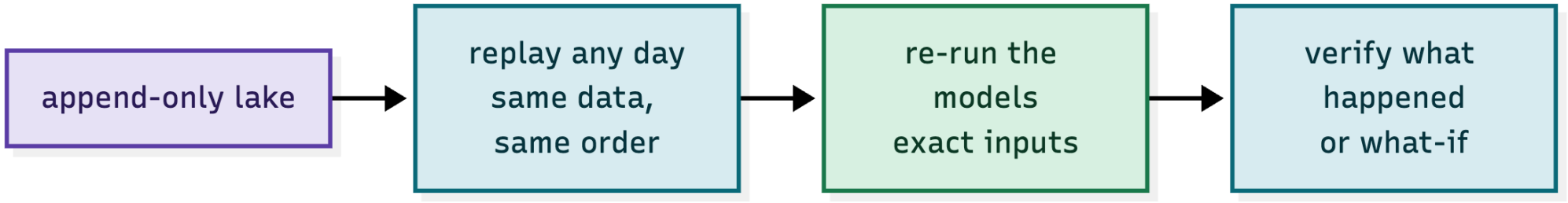


Figure 38.4 — replay the day, re-run the models, verify what happened.

A trader can ask "what did my model actually see at 09:02 on 3 February?" — and *see it*. And "what would it have done with the corrected weather?" — and *re-run it*. That is a capability no terminal has: a **time machine** for your own decisions.

38.5 Model comparison — fair, on the same data

Two models can be run on the **same versioned inputs** and compared fairly — same data, same clock, different models.

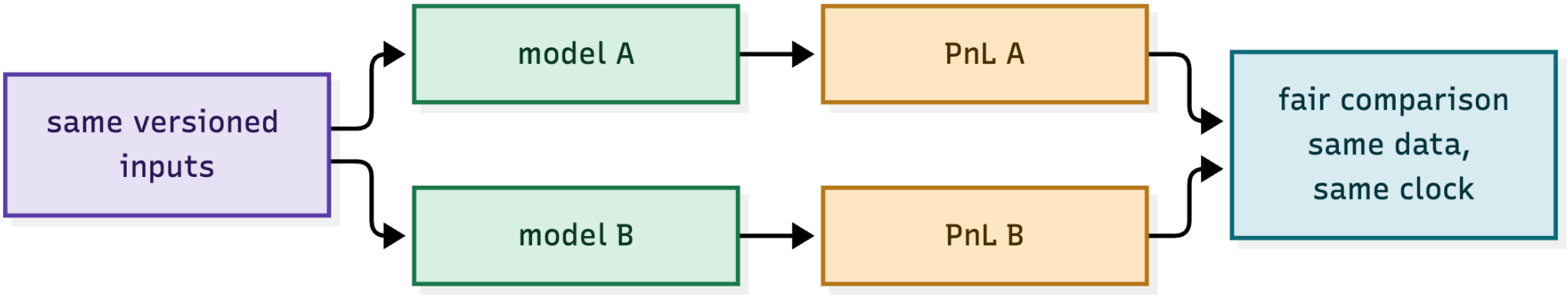


Figure 38.5 — same inputs, two models, one fair P&L comparison.

Without the envelope, comparing models is confounded — they saw different data at different times. With it, the comparison is clean, and the better model wins on merit.

38.6 Compliance as a view — proof, not a promise

A regulatory report is **a query over the lake**, not a separately-maintained spreadsheet.

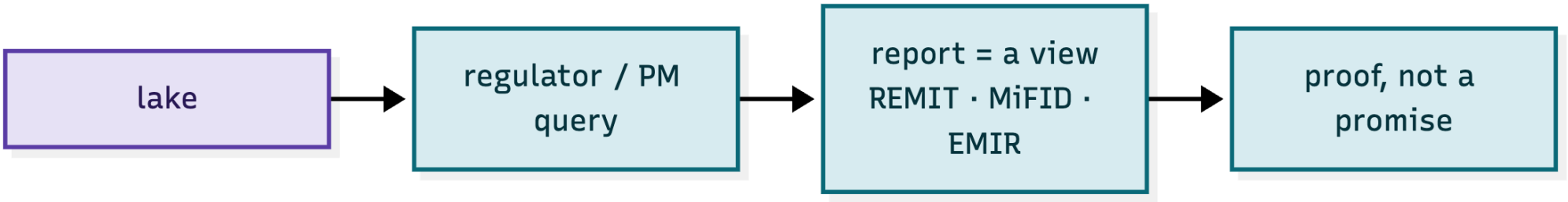


Figure 38.6 — REMIT, MiFID, EMIR reports are generated from the same evidence.

The regulator's question ("show me every order, its reasoning and its fill") is answered by a view, with correlation ids and ages. The report is **proof**, because it is generated from the append-only record — not reconstructed after the fact.

38.7 The self-describing packet

The deepest fact: an envelope **knows its own provenance, its own lineage and its own chain**. The lake is therefore *self-documenting*.

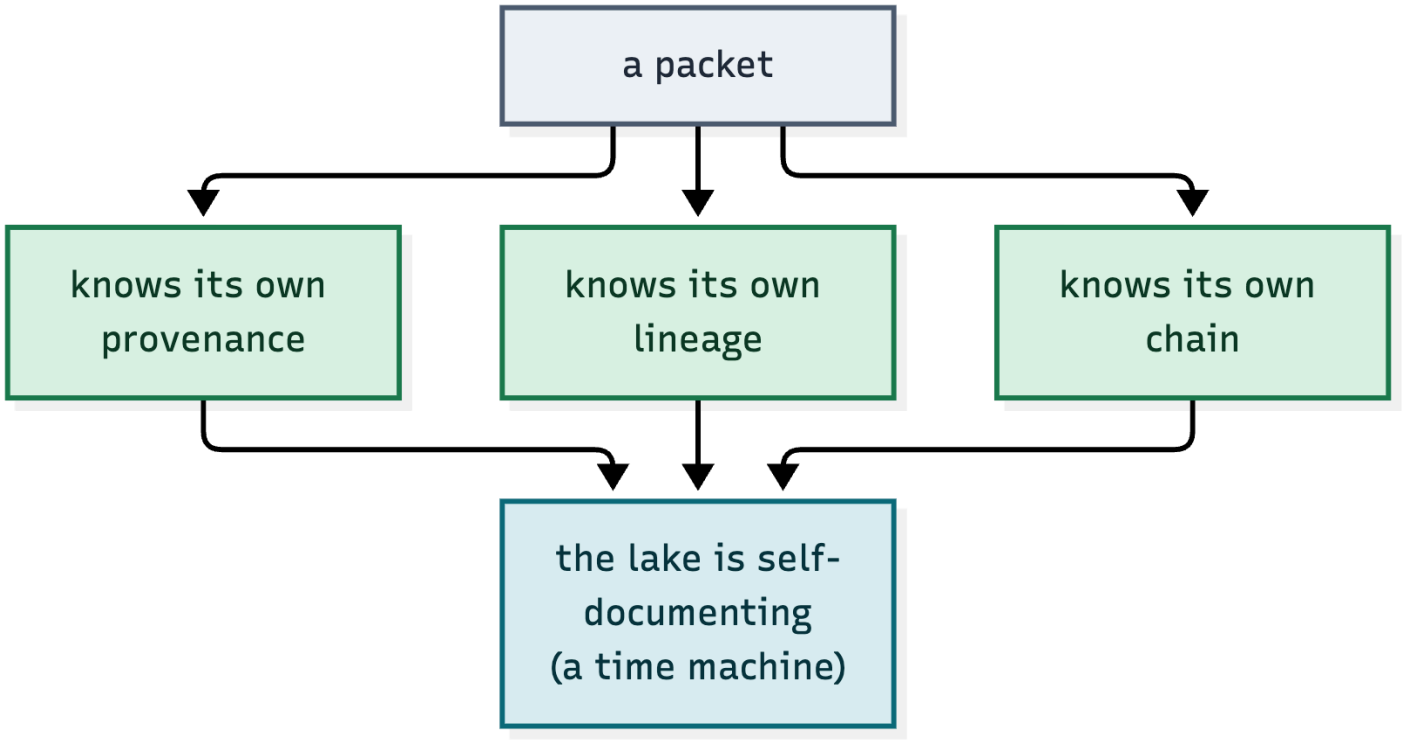


Figure 38.7 — a packet knows who made it, what it read, and what followed it.

That is why the envelope is the whole trick: **you don't maintain documentation — the packets are the documentation.** The system is its own audit trail, its own research log, and its own time machine.